REQUEST FOR PROPOSALS
FINANCIAL STATEMENT AUDIT SERVICES

Release Date:	**January 31, 2025**
RFP Number:	DCFS25-01
Proposal Due Date:	**March 5, 2025, 3:00 P.M. PST** Los Angeles Fire and Police Pensions Internal Audit Section Email to: internalaudit@lafpp.com
All questions must be e-mailed to the RFP Administrator no later than:	**February 7, 2025, 3:00 P.M. PST** Any questions concerning the RFP will be due by the date/time above and all answers will be posted by February 14, 2025 on the RFP page of the LAFPP Website, https://lafpp.lacity.gov/about/request-proposals
RFP Administrator:	**Jennifer Van** Internal Audit Section Email: internalaudit@lafpp.com Phone: (213) 279-3175
Official RFP Notices/Addendums:	To ensure that no firm is provided advantage over another, all requirements are specified in this RFP. Any changes to the requirements will be posted as an addendum to the RFP on the LAFPP Website, https://lafpp.lacity.gov/about/request-proposals. Proposers are solely responsible for monitoring the Website and adhering to RFP addendums.
Prohibited Communications:	Any communication not directed to the RFP Administrator could be considered attempts to lobby or market services and is therefore prohibited. Firms will be disqualified from contract consideration if the prohibition is not honored. Communications with Board members about this RFP, other than at a public Board meeting, are prohibited by the City Ethics Ordinance, Los Angeles Municipal Code section 49.5.11(A), the violation of which may result in civil, administrative, and/or criminal penalties.

Table of Contents

1. Introduction 3
1.1 Purpose 3
1.2 Background 3
1.3 Prior Audits and Actuarial Reports 4
1.4 Minimum Qualifications 4
1.5 Scope of Services 5
2. General Submittal Requirements 7
2.1 Contract Period 7
2.2 Proposal Submittal Requirements 7
2.3 Content of Proposal 8
2.4 Proposer Questions & Restricted Contact with LAFPP Personnel 8
2.5 Deadline for Submission of Proposals 9
2.6 Board Review 9
2.7 Tentative Schedule 9
3. Detailed Submittal Requirements 10
3.1 Proposal Format 10
3.2 Proposal Section 1.0: Cover Letter 11
3.3 Proposal Section 2.0: Table of Contents 12
3.4 Proposal Section 3.0: Proposal Questionnaire 12
3.5 Proposal Section 4.0: Fee Schedule 16
3.6 Proposal Section 5.0: Required Documents/Forms 16
4. Evaluation of Reponses 17
4.1 Evaluation Process 17
4.2 Evaluation Criteria 17
5. General Terms and Conditions 18
6. Appendix 18
6.1 General Terms and Conditions 18
6.2 Standard Provisions for City Contracts 18
6.3 Bidder CEC Form 50 18
6.4 Bidder CEC Form 55 18
6.5 LAFPP Contractor Disclosure Policy 18
6.6 Submitting Proof of Insurance 18

1. Introduction

1.1 Purpose

The City of Los Angeles Fire & Police Pensions ("LAFPP" or the "Plan") is seeking proposals from qualified certified public accounting firms to conduct annual audits of LAFPP's financial statements for the fiscal years ending June 30, 2025, 2026, and 2027.

Firms submitting proposals must have previous experience in auditing large Public Pension/Retirement Systems with at least $5 billion in plan net assets. LAFPP intends to award a three-year contract with a maximum fee proposal for each fiscal year. The Board of Fire and Police Pension Commissioners ("Board") may choose to exercise its authority to extend this relationship beyond the three-year contract term through two one-year renewals. Please provide pricing on a three-year basis. The contract will be awarded in accordance with the terms and conditions listed in the Request for Proposal (RFP).

The State of California requires all California Public Retirement Systems to furnish audited financial statements to the State Controller annually under Sections 7501-7504 of the Government Code. Audited financial statements are also required under the City of Los Angeles Charter Section 362.

To assist your firm in estimating the level of effort required to render an opinion on the compliance requirements, the Minimum Audit Requirements and Reporting Guidelines for Public Retirement Systems issued by the State of California Controller's Office are available at https://www.sco.ca.gov/ard_local_rep_audit_guidelines_uas.html.

1.2 Background

LAFPP is one of three pension systems for the City of Los Angeles (the "City"). LAFPP administers the pension and retiree health subsidy plans of the City of Los Angeles' sworn firefighters and police officers, including the police officers employed by the Los Angeles World Airports and Port of Los Angeles. The Board of Fire and Police Pension Commissioners governs LAFPP in accordance with Los Angeles Charter §1106, consistent with Article XVI, Section 17 of the California Constitution. The Board consists of nine members. Five commissioners are appointed by the Mayor and four are elected by the active and retired members of the Fire Department and the Police Department (two from each department).

The Plan is a defined benefit single-employer pension plan that operates under the

provisions of Charter Sections 1200-1726 and Chapter 20 of the Administrative Code of the City of Los Angeles. It is composed of six membership tiers with over 27,000 active and retired members, including survivors. The Plan also consists of a pensioner health subsidy plan operated under the provisions of the City of Los Angeles Charter (Sections 1330, 1428, 1518, 1618, and 1718) and Administrative Code (Chapter 11.5 and Section 4.2018 of Chapter 20).

Plan net assets are valued at approximately $33 billion as of December 31, 2024 (unaudited) and are invested in a diversified portfolio that includes public equities, fixed income, private equity, private credit, real estate, and private infrastructure. Total pension and health benefit expenses for fiscal year 2024-25 are projected to be $1.66 billion.

On July 1, 2022, LAFPP established an Internal Revenue Code Section 115 Trust Fund account for other post-employment benefits. The Section 115 Trust is presented as part of LAFPP's financial statements for its Pension & Health Subsidy Plans and notes to the financial statements. As of June 2024, no separate opinion has been issued.

1.3 Prior Audits and Actuarial Reports

The accounting firm Simpson & Simpson, LLP performed the audits of the financial statements for the fiscal years ending June 30, 2021 - 2024. The Segal Company, LAFPP's consulting actuary, prepared the annual actuarial valuation of the Plan assets and liabilities as of June 30, 2024. The Plan's Audited Financial Statements and Annual Actuarial Valuations are available at https://lafpp.lacity.gov/about/inside-lafpp/financial-reports.

1.4 Minimum Qualifications

All proposers must clearly demonstrate and document in the proposal the following minimum qualifications. Proposals not meeting the minimum qualifications will not be reviewed or evaluated.

1.4.1 The firm must have key personnel with at least five years of experience auditing governmental agencies and/or public pension funds.

1.4.2 The Engagement Partner must be licensed to practice in the State of California as a Certified Public Accountant and must demonstrate a strong knowledge of governmental accounting and auditing requirements from prior audit experience of governmental entities and large Public Pension/Retirement Systems with at least $5 billion in plan net assets. The Engagement Partner must directly supervise all services provided to LAFPP under this contract.

1.5 Scope of Services

The selected certified public accounting firm will be contracted to provide the following financial audit and advisory services:

1.5.1 Perform annual audits with the objective of expressing an opinion of whether LAFPP's financial statements for its Pension & Health Subsidy Plans and notes to the financial statements are fairly presented, in all material aspects, in conformity with the Minimum Audit Requirements and Reporting Guidelines of Public Retirement Systems issued by the State of California Office of the Controller and the Government Auditing Standards issued by the Comptroller General of the United States.

As part of the scope of this service, the selected firm shall:

1. Submit independent audit reports expressing an opinion on LAFPP's financial statements and notes to the financial statements.

2. Communicate audit observations (whether caused by error or fraud) during the course of the audit in accordance with the Statements on Auditing Standards issued by the American Institute of Certified Public Accountants.

3. Test an appropriate sample of: (1) active member accounts for verification of service credit and total on deposit, (2) benefits granted during the year for service retirements, disabilities, survivorships, deferred retirement option plan (DROP) payments, medical and dental subsidies and reimbursements, and refunds of contributions. The auditor shall make an independent review of the procedures and payments and report the findings.

4. Test census data provided to the actuary for completeness and accuracy. Select sample records of the active, inactive, and retired participants and

test the underlying data of selected participants each year to obtain sufficient and appropriate evidence that the census data reported to the actuary for actuarial valuation and GASB reporting is correct.

5. Examine all investments to ascertain the documented existence of securities, to verify cost data with accounting records, and to review the accumulation of reported cost, book value, and market value of the various investment portfolios, and to verify compliance and adherence to the Board's investment policy and asset allocation plan.

6. Perform audit procedures related to LAFPP's Internal Revenue Code Section 115 Trust Fund account for other post-employment benefits.

7. Perform "subsequent events" audit procedures to comply with the City of Los Angeles' external auditor's requirements.

8. Issue Management Letters to the Board on internal control deficiencies discovered during the audits and opportunities for cost reduction and efficiency in operations.

9. Provide signed audited financial statements due to LAFPP in electronic format. Additionally, deliver (10) ten bound copies of the audited report to LAFPP at an agreed-upon date and time.

10. Attend Board meetings to present the independent audit reports to the Board.

11. Retain all working papers and reports at the firm's expense for a minimum of five (5) years. The firm will be required to make working papers available to LAFPP upon request. In addition, the firm shall respond to the reasonable inquiries of successor auditors and allow successor auditors to review working papers relating to matters of continuing accounting significance.

1.5.2 Perform annual audits of schedules related to GASB Statement No. 68, *Accounting and Financial Reporting for Pensions – an Amendment of GASB Statement No. 27*, and GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, with the objective of expressing an opinion about whether these schedules are presented fairly, in all material respects, in accordance with accounting principles generally accepted in the United States.

As part of the scope of this service, the selected firm shall:

1. Submit independent audit reports expressing an opinion on the fair presentation of the schedules pertaining to GASB Statements No. 68 and No. 75. The selected firm shall work closely with LAFPP's actuary and the City's external auditor and actuary, as necessary, to ensure timely financial reporting.

2. Attend Board meetings to present the independent audit reports to the Board.

3. Retain all working papers and reports at the firm's expense for a minimum of five (5) years. The firm will be required to make working papers available to LAFPP upon request. In addition, the firm shall respond to the reasonable inquiries of successor auditors and allow successor auditors to review working papers relating to matters of continuing accounting significance.

1.5.3 Provide related advisory services on:
1. GASB pension accounting and financial reporting requirements.
2. Other advisory services, as needed.

2. General Submittal Requirements

2.1 Contract Period

LAFPP intends to award a three-year contract with a maximum fee proposal for each fiscal year. The Board may choose to exercise its authority to extend this relationship beyond the three-year contract term through two one-year renewals.

2.2 Proposal Submittal Requirements

All proposals must be submitted electronically in a PDF format and Proposers shall

complete and return all applicable documents including forms, appendices, specifications, drawings, schematic diagrams and any technical and/or illustrative literature. LAFPP may deem a proposal nonresponsive if the Proposer fails to provide all required documentation.

Proposals should be emailed to internalaudit@lafpp.com. The internalaudit@lafpp.com email has a file limit of 150MB. If your file is larger than 150MB please contact the RFP Administrator to make alternative arrangements for your RFP submission.

Submission of proposals in a manner other than as described in these instructions (e.g., fax, paper copy) will not be accepted.

2.3 Content of Proposal

Proposals shall be based only on the material contained in the RFP, amendments, addenda, and other material published by LAFPP relating to this RFP. By submitting a proposal, proposers agree to the Proposal Items and all provisions in the Standard Provisions for City Contracts (Appendix 6.2).

Proposals submitted in response to this RFP must provide the requested information in the format specified in Section 3. Adherence to this format will help to ensure a fair and objective analysis of submitted proposals. The requested information is organized into individual sections, which should correspond to individual sections in the submitted proposals. Proposals must respond to each topic in the order presented, and responses should be numbered as stated in Subsection 3.1. LAFPP reserves the right to declare as nonresponsive and reject any proposals in which information is requested and is not furnished or when a direct or complete answer is not provided.

Note that responses to questions MUST be specifically answered within the context of the submitted proposal. The LAFPP Proposal Evaluation Committee will NOT refer to a designated website, brochure, or other location for the requested information. Responses that utilize references to external materials as an answer will be considered nonresponsive.

Proposals failing to comply with the above requirements may be declared nonresponsive and eliminated from further consideration.

2.4 Proposer Questions & Restricted Contact with LAFPP Personnel

Questions regarding the RFP **must be submitted in writing via email to**: internalaudit@lafpp.com, **no later than Friday, February 7, 2025, 3:00 P.M. PST**. Questions will not be accepted via telephone. Answers to questions from all Proposers will be posted on February 14, 2025, on the RFP page of the LAFPP Website,

https://lafpp.lacity.gov/about/request-proposals.

If any questions or requirements in this RFP raise significant issues not adequately addressed in the RFP or considered relevant to the other applicants, we will provide additional information to all applicants in a timely manner.

2.5 Deadline for Submission of Proposals

All proposals must be received by LAFPP on Wednesday, March 5, 2025 by 3:00 PM Pacific Standard Time (PST). No proposal will be accepted by LAFPP after that date and time.

2.6 Board Review

It is anticipated that an evaluation of responses, cost information and a recommendation for contract award will be presented to the Board for possible action in May 2025.

2.7 Tentative Schedule

This schedule indicates estimated dates for the RFP process. LAFPP reserves the right to adjust this schedule when appropriate.

Date	Event
1/31/2025	Release RFP to Potential Proposers
2/7/2025	3:00 p.m. PST – Deadline to Submit Questions
2/14/2025	LAFPP Posts Answers to Questions
3/5/2025	**RFP Responses Due – must be received by 3:00 PM PST**
3/6/2025	Evaluation Period Begins
5/1/2025	Staff Recommendation of Contract Award to Board

3. Detailed Submittal Requirements

3.1 Proposal Format

3.1.1 Proposers shall prepare their proposals in accordance with the instructions outlined in this section. Proposals should be prepared as simply as possible and provide a straightforward, concise description of the Proposer's capabilities to satisfy the requirements of the RFP. Utmost attention should be given to accuracy, completeness and clarity of content. All parts, pages, figures and tables should be numbered and clearly labeled. The proposal should be organized into the following major sections:

Proposal Section	Title
1.0	Cover Letter
2.0	Table of Contents
3.0	Proposal Questionnaire
4.0	Fee Structure
5.0	Required Documents/Forms

Instructions relative to each part of the response to this RFP are defined in the remainder of this section. Response information should be limited to pertinent information only.

3.1.2 All proposals must be submitted electronically in a PDF format, and Proposers shall complete and return all applicable documents including forms, appendices, specifications, drawings, schematic diagrams and any technical and/or illustrative literature. LAFPP may deem a proposal nonresponsive if the Proposer fails to provide all required documentation.

3.1.3 Number of Copies – Each Proposer shall submit one (1) electronic copy in PDF format via email. Proposals must include the RFP title, RFP Number, and the Proposer's (company) name. If the proposal contains any trade secrets or other proprietary, confidential information that the proposer claims is exempt from disclosure under the California Public Records Act (California Government Code §7920 et seq.), please submit one (1) redacted electronic copy of the proposal in addition to the original version.

3.1.4 Proposers shall not use, copy, or replicate, in any form, the City of Los Angeles seal or LAFPP logo.

3.2 Proposal Section 1.0: Cover Letter

3.2.1 The cover letter must include the legal business name, address, telephone number and business status (individual, limited liability partnership, corporation, etc.) of the Proposer.

3.2.2 The cover letter must also include the person(s) authorized to represent the Proposer in negotiations with LAFPP with respect to the RFP and any subsequently awarded contract. Provide the representative's name, title, address, telephone number, e-mail address and any limitation of authority for the person named.

3.2.3 Important Exceptions to Contract Documents – The Proposer shall clearly state in the cover letter any exceptions to, or deviations from, the minimum proposal requirements, and any exceptions to the terms and conditions of this RFP. Such exceptions or deviations will be considered in evaluating the proposals. Proposers are cautioned that exceptions taken to this RFP may cause their proposal to be rejected.

3.2.4 Conflict of Interest – The Proposer shall disclose in the cover letter any existing or potential conflict of interest relative to the performance of services required by any contract resulting from this RFP.

3.2.5 The cover letter shall have the following statement: "This proposal is genuine, and not a sham or collusive, nor made in the interest or on behalf of any person not named therein; the Proposer has not directly or indirectly induced or solicited any other Proposer to put in a sham bid, or any other person, firm or corporation to refrain from submitting a proposal, and the Proposer has not in any manner sought by collusion to secure for themselves an advantage over any other Proposer."

3.2.6 The cover letter is to be signed by a person(s) authorized to bind the Proposer to all provisions of this RFP, to any subsequent changes and to the contract if an award is made. (If the Proposer is a partnership, the proposal must be signed by a general partner in the name of the partnership. If the Proposer is a corporation, the proposal must be signed on behalf of the corporation by two authorized officers (a Chairman of the Board, President or Vice-President, and a Secretary, Treasurer or Chief Financial Officer), or an officer authorized by the Board of Directors to execute such documents on behalf of the corporation.)

3.3 Proposal Section 2.0: Table of Contents

Each proposal must include a Table of Contents listing the sections included in the proposal.

3.4 Proposal Section 3.0: Proposal Questionnaire

Please provide a thorough answer immediately following each question. If attachments are provided in response to a question, indicate in the answer the specific pages which respond to the question.

3.4.1 Demonstration of Minimum Qualifications

Please provide information to demonstrate that the firm meets the minimum qualifications of the RFP.

a) Experience with Similar Contracts – Proposer shall provide a description of previous work experience in servicing similar contracts over the past five years for governmental agencies or public pension systems. Provide five references from clients each with plan net assets in excess of $5 billion, for whom the primary Engagement Partner or Audit Manager provided auditing and/or accounting services. Please provide the information in the following format:

Client's Name and Address	Services Provided	Beginning and Ending Dates of Contract	Primary Engagement Partner or Manager	Client Contact Person (name, title, telephone number, and email address)

Note: Submission of a proposal in response to this RFP constitutes permission to LAFPP to contact any identified previous clients to request information on the performance of the Proposer.

b) Submit a resume for the proposed Engagement Partner including: title, key experience relating to this scope of work, professional licenses and certifications held, current clients, past public pension fund clients in last five years, and past California public pension fund clients in last three years.

c) List the names, office location(s) and duties of the members of the proposed audit team that would be responsible for our account and provide resumes including titles, functions, the number of years in auditing with your firm,

education background, and related experience in auditing public pension funds. Note that any subsequent changes to the assigned engagement partner, supervisory and/or other audit staff must be approved by LAFPP.

3.4.2 About the Firm

Provide your responses to the questions below by replicating each question in your proposal followed by your response.

a) Provide a profile of the firm including a brief history, year founded, business entity type, location of headquarters and subsidiaries (if any), services provided, and number of employees, other business services, ownership structure (including any business partners), recent or expected ownership structure changes.
b) Provide an affirmative statement that the firm and all assigned key personnel are properly licensed to practice public accountancy in the State of California.
c) Provide an organizational chart of the management team of the firm.
d) Describe the turnover in key professional personnel in each of the last five years.
e) Provide your policy regarding the rotation of partners and Audit Managers on financial statement audits.
f) What incentives are provided to attract and retain top quality employees at your firm?
g) Has any officer or principal of your firm been involved in litigation or license enforcement actions relating to auditing and accounting activities? If so, provide a brief explanation and indicate the current status of the proceedings.
h) Describe the services of your firm that distinguish it from your competitors. Convincingly and briefly explain why your firm is the most qualified for this engagement.
i) Describe the dollar amounts of coverage for fidelity bonds, errors and omissions coverage and any other fiduciary coverage that your firm carries. List the insurance carriers supplying the coverage, amounts, and expiration dates.
j) How many of your audit clients are public employee retirement systems?
k) Provide a list of clients lost in the last five years, including the time period when services were provided and reason(s) for each account lost.
l) Briefly summarize your philosophy relating to your firm's relationship with Boards, Staff, Council, etc.
m) Disclose the nature of any past, present, or pending relationship with any LAFPP Board commissioner, consultant, or staff.
n) Please describe your firm's efforts to protect client data. Describe any data breaches your firm has experienced in the past five years.

o) Describe how the firm keeps Social Security numbers and other private or confidential information secure.
p) Is your firm certified by any governmental entity as a minority-owned, woman-owned, or other business enterprise?
q) Describe any outreach efforts to government certified minority-owned, woman-owned, or other-business enterprises.
r) Describe all non-auditing services you offer. What procedures are in place that would reduce or eliminate potential conflicts of interest?
s) Is your firm requesting any alternatives and/or substitutions to the LAFPP standard RFP and contracting provisions? See General Terms and Conditions (Appendix 6.1) and the Standard Provisions for City Contracts (Appendix 6.2). LAFPP reserves the right to determine if the alternatives/substitutions are acceptable.
t) Does your firm have a sexual harassment policy? Please describe the policy and summarize any pending or anticipated litigation against the firm, its employees, or partners, involving allegations of sexual harassment or sexual misconduct.

3.4.3 Questions Concerning Your Proposal

Proposals shall demonstrate your firm's understanding of the services to be provided and their proposed approach. Provide your responses to the questions below by replicating each question in your proposal followed by your response.

a) Provide a description of the overall approach to be used for the work, including your approach to making the transition from LAFPP's prior auditor, if applicable.
b) Please describe your understanding of the scope and level of services required by this RFP.
c) Indicate how the quality of staff and the audit work will be assured over the term of the agreement. Please provide a copy of your firm's most recent peer review report.
d) What policies are in effect to control the workload as it relates to the number of clients serviced by each audit staff? Is there a limit on the number of accounts that each staff may handle concurrently?
e) Describe in detail your firm's experience auditing complex investments. List your in-house and/or outside consultant resources for auditing investments.
f) Describe your firm's experience with auditing Internal Revenue Code Section 115 Trust Fund accounts.
g) Describe your firm's experience assisting clients comply with GASB requirements.
h) Describe your firm's experience with proactive interpretation of new GASB

statements, and resolution of accounting issues or ability to work with actuaries to implement the actuarial provisions of the various GASB Statements on pension accounting and financial reporting.

i) The City of Los Angeles Controller's Office requires LAFPP's audited financial statements to be submitted no later than the second week of November, for inclusion in a City-wide Annual Comprehensive Financial Report (ACFR). To accomplish this objective, the following timetable must be followed:
   - July – Interim audit fieldwork begins. Timing to be determined by the external auditor to ensure timely delivery of the final audit report.
   - Second week of October –LAFPP submits final trial balance and financial statements to the external auditor for final fieldwork.
   - Second week of November – Signed audited financial statements due to LAFPP.

   Discuss difficulties, if any, your firm would have in meeting the timetable outlined above.
j) With some specificity, please discuss your approach to auditing active member accounts, retirement rolls, and census data provided to the actuary for accuracy and completeness.
k) With some specificity, please discuss your approach to auditing information technology systems.
l) With some specificity, please discuss your approach to auditing the year-end valuations of Private Equity Funds.
m) Provide a general discussion of how you would evaluate internal controls.
n) Describe how you would audit compliance with investment policies adopted by a governing board.
o) If your firm is selected, describe any startup work you would do, including timing and duration of the work.
p) Describe any anticipated potential audit problems, the firm's approach to resolving these problems, and any special assistance that will be requested from LAFPP's staff.
q) Include any other information that is believed to be pertinent but not specifically requested elsewhere in this RFP.

3.4.4 Disaster Recovery and Business Continuity Plan

Proposals shall include a description of the proposer's Disaster Recovery and Business Continuity Plan (DR/BCP). The DR/BCP shall show how the Proposer will continue to deliver essential business functions despite damage, loss, or disruptions due to a natural or man-made emergency or disaster. The DR/BCP shall include Risk Assessment, Business Impact Analysis, Alignment of Business Strategy, Alignment to

Business Continuity Strategy, Recovery Time Objectives (RTO) of when it will return to normal business functions, and Testing and Updating of the plans.

3.5 Proposal Section 4.0: Fee Schedule

Provide fees for the services outlined in RFP Section 1.5 for each year of the three-year contract using the format below. Please detail the fees by the specified services and by the contract year. The fees should be total and comprehensive and include all out-of-pocket type expenses.

ANNUAL AUDIT SERVICES	FEE PROPOSED		
	YEAR 1	YEAR 2	YEAR 3
FINANCIAL STATEMENT AUDIT AND ADVISORY SERVICES (as specified in Section 1.5.1)			
GASB 68/75 AUDIT (as specified in Section 1.5.2)			
TOTAL ANNUAL FEE			

Provide hourly billing rates by personnel classification for as-needed advisory services using the format below. Hourly rates must be fully burdened. Total costs for as-needed advisory services must be estimated and approved by LAFPP before work may commence.

HOURLY BILLING RATES FOR AS-NEEDED ADVISORY SERVICES (for advisory services specified in Section 1.5.3)	FULLY BURDENED HOURLY BILL RATE		
Classification of Personnel (e.g. Partner, Manager, Senior, and Staff)	YEAR 1	YEAR 2	YEAR 3

3.6 Proposal Section 5.0: Required Documents/Forms

Please provide the following required documents/forms contained in the Appendix, Section 6 of this RFP:

- Appendix 6.1: General Terms and Conditions
- Appendix 6.2: Standard Provisions for City Contracts
- Appendix 6.3: Bidder CEC Form 50
- Appendix 6.4: Bidder CEC Form 55

Failure to submit these documents will deem your proposal as nonresponsive.

4. Evaluation of Reponses

4.1 Evaluation Process

The selected Proposer must successfully pass all the following levels of review:

4.1.1 Level I: Review of Qualifications, Experience & References

The proposal must demonstrate that the Proposer meets the minimum qualifications (see RFP Section 1.4); has a positive record as a responsible contractor; and has the resources and experience to perform the required services delineated in RFP Section 1.5 based on the responses to the questions in RFP Section 3.

4.1.2 Level II: Administrative Responsiveness

The proposal must demonstrate its responsiveness to the administrative requirements outlined in the RFP, e.g., adhering to the submittal requirements detailed in RFP Section 3. The Firm's ability to adhere to LAFPP's standard contract provisions will also be considered (see General Terms and Conditions (Appendix 6.1) and the Standard Provisions for City Contracts (Appendix 6.2)).

4.1.3 Level III: Proposed Services & Fees

Each firm's proposed plan of services and fees for providing the required services (RFP Sections 3.4 and 3.5) are evaluated and ranked by the evaluation panel.

4.1.4 Level IV: Final Approval by the Board

The Proposer that demonstrates to be the most qualified to provide the required services at the best overall value to LAFPP, as determined by the evaluation panel, will be recommended for contract award to the Board of Fire and Police Pension Commissioners. The Board at its sole discretion makes the final award determination.

4.2 Evaluation Criteria

LAFPP will select an external auditor based on the following criteria:

- Qualifications and experience of the firm
- Demonstrated understanding and ability to address LAFPP's specific needs
- Reasonableness of costs and value
- Positive contracting history

LAFPP shall reserve the right to use such other criteria as may be deemed appropriate in evaluating proposals, even if such criteria are not specifically addressed in the RFP.

5. General Terms and Conditions

Proposers are to submit required documents specified in the General Terms and Conditions (Appendix 6.1). The General Terms and Conditions also indicate several standard contracting provisions and requirements of every LAFPP and City of Los Angeles contract. You are encouraged to read the documents thoroughly, including the Standard Provisions for City Contracts (Appendix 6.2), as they may result in additional expenses to your firm.

6. Appendix

6.1 General Terms and Conditions

6.2 Standard Provisions for City Contracts

6.3 Bidder CEC Form 50

6.4 Bidder CEC Form 55

6.5 LAFPP Contractor Disclosure Policy

6.6 Submitting Proof of Insurance

1. General Terms and Conditions

1.1 General Conditions

Submission of a response to this RFP shall constitute acknowledgment and acceptance of the standard terms and conditions set forth herein.

1.2 Valid Period of RFP

All proposals shall be firm and final offers and may not be withdrawn for a period of one hundred twenty (120) days following the announced deadline for the submission of proposals under this RFP. A response to this RFP is an offer to contract with LAFPP based upon the terms, conditions, service level agreement and specifications contained in the proposal submitted.

1.3 Authorized Signatures

Proposals must be signed by a duly authorized officer eligible to sign contract documents and authorized to bind the company to all commitments made in the proposal. A non-officer individual, with authority to bind the Proposer to a contract, is sufficient to sign all applicable documents for this RFP. Consortiums, joint ventures, or teams submitting proposals will not be considered responsive unless it is established that all contractual responsibility rests solely with one Proposer or one legal entity. The proposal must identify the responsible entity.

1.4 Proposal Submission

All proposals should be submitted by the deadline specified in the RFP. Late responses will not be considered. Proposals should contain accurate and complete information as required in this RFP. The Proposer is liable for all errors or omissions incurred by the Proposer in preparing the proposal. The Proposer will not be allowed to alter the proposal documents after the due date of submission. Unclear, incomplete, and/or inaccurate documentation may cause a response to be removed from further consideration. Unnecessary or lengthy responses beyond those needed to sufficiently respond to all of the RFP requirements should be omitted.

1.5 Proposer Assumes RFP Costs

LAFPP shall not be liable for any expenses incurred by any Proposer prior to issuing any contract that may result from this RFP.

1.6 Proposal Clarification

LAFPP reserves the right to request at any phase of the evaluation process that

Proposers clarify information provided in RFP responses, including assumptions used in the RFP response. All clarifications must be coordinated in writing with, authorized by, and made by the Contract Administrator. Clarifications must be submitted in writing by the requested deadline. Otherwise, the RFP response will be deemed non-responsive or evaluated without the benefit of the clarification requested.

If LAFPP determines that all proposers failed to submit requested information or adequately responded to the same RFP question or request for data, LAFPP may, at its discretion, issue an RFP Addendum and provide all proposers with an opportunity to respond to the RFP question. Responses to RFP Addendum questions must be submitted in writing by the stated deadline; otherwise, the RFP response will be deemed non-responsive or evaluated without the benefit of the clarification requested.

1.7 Waiver of Minor Administrative Irregularities

LAFPP reserves the right, at its sole discretion, to waive minor administrative irregularities contained in any proposal.

1.8 Prohibited Use of City Seal or LAFPP Logo & Alteration of RFP

The Proposer is prohibited from using, copying, or replicating in any form the City seal or LAFPP logo. In addition, the Proposer shall not change any wording in the RFP or associated documents.

1.9 Amendments to RFP

LAFPP retains the right to amend this RFP and will make reasonable attempts to notify prospective Proposers of any changes. However, it is the Proposer's responsibility to monitor the RFP page on the LAFPP Website, www.lafpp.com/requests-proposals, for any amendments pertaining to this RFP. LAFPP will not be liable for the Proposer's failure to receive such notice and any consequential non-responsiveness or noncompliance. LAFPP reserves the right to extend the deadline for submission. Proposers will have the right to revise their response in the event the deadline is extended.

1.10 Proposer's Right to Withdraw Proposal

The Proposer may withdraw its submitted proposal in writing at any time prior to the specified due date and time. Emailed withdrawals will be accepted. A written request, signed by an authorized representative of the company, may also be submitted to:

Los Angeles Fire and Police Pensions
ATTN: Jennifer Van, RFP Administrator
701 E. 3rd Street, Suite 200

Los Angeles, CA 90013
via email: audit@lafpp.com

After withdrawing a previously submitted proposal, the Proposer may submit another proposal at any time, up to the specified due date and time.

1.11 LAFPP's Right to Reject Proposals & Withdraw RFP

LAFPP reserves the right to withdraw this RFP or reject any or all proposals at any time without prior notice; to waive any minor informality in proposals received; to reject any unapproved alternate proposal(s); and reserves the right to reject the proposal of any Contractor who has previously failed to perform competently in any prior business relationship with LAFPP. The withdrawal of this RFP or rejection of any or all proposals shall not render LAFPP liable for costs or damages.

1.12 Confidential Information / Public Records Law

All responses to the RFP will be kept confidential until such time as recommendation for award of a contract has been announced. Thereafter, proposals are subject to public inspection and disclosure under the California Public Records Act. Proposers must clearly and conspicuously identify all copyrighted material, trade secrets or other proprietary information that the Proposer claims are exempt from the California Public Records Act (CPRA) – California Government Code Section 6250 et seq.

In the event a Proposer claims that any of its documents are exempt from inspection under the CPRA, the Proposer is required to state in the proposal the following: "The Contractor will indemnify the City and its officers, employees and agents, and hold them harmless from any claim or liability and defend any action brought against them for their refusal to disclose copyrighted material, trade secrets or other proprietary information to any person making a request therefor."

Failure to include such a statement shall constitute a waiver of a Proposer's right to exemption from this disclosure.

1.13 Ownership of Documents

All reports, tables, charts, and other contract documents prepared under this RFP by the Proposer shall be and remain the property of LAFPP upon LAFPP compensation of the Contractor for its services as herein provided. Contractor shall not release to others information furnished by LAFPP or any other City agency, Commission or Board without prior written approval from LAFPP.

1.14 Confidentiality & Non-Disclosure of Member Information

All documents, records, and information provided by LAFPP to the Contractor, or accessed or reviewed by the Contractor, during the performance of the services will

remain the property of LAFPP. All documents, records, and information provided by LAFPP to the Contractor, or accessed or reviewed by the Contractor and any of its employees during the performance of services are confidential (from now on collectively referred to as “Confidential Information”). The Contractor agrees not to provide Confidential Information, nor disclose their content or any information contained in it, either orally or in writing, to any other person or entity. The Contractor agrees that all Confidential Information used or reviewed in connection with the Contractor's work for LAFPP will be used only to carry out City business and cannot be used for any other purpose. The Contractor will be responsible for protecting the confidentiality and maintaining the security of City documents and records in its possession.

Any Confidential Information provided by LAFPP to the Contractor, or accessed or reviewed by Contractor, during the performance of services, will be made available to its employees, agents, and subcontractors only on a need to know basis. Further, the Contractor will provide written instructions to all of its employees, agents, and subcontractors, with access to the Confidential Information about the penalties for its unauthorized use or disclosure.

The Contractor must not remove Confidential Information or any other documents or information used or reviewed in connection with the Contractor's work for LAFPP from City facilities without prior approval from LAFPP. At no cost to LAFPP the Contractor will, at the conclusion of services, or at the request of LAFPP, promptly return in an organized manner that preserves and protects the documentation, any and all Confidential Information and all other written materials, notes, documents, or additional information obtained by the Contractor during the course of work under the contract. The Contractor will not make or retain copies of any such information, materials or documents. The Contractor and its employees, agents, and subcontractors may have access to confidential employee personnel information; misuse of such information may adversely affect the subject individual’s privacy rights and may violate various federal and State statutes. The Contractor will implement reasonable and prudent measures to keep secure personal employee information accessed by its employees, agents, and subcontractors during the performance of services. The Contractor will advise its employees, agents, and subcontractors of this confidentiality requirement.

The Contractor shall disclose the intent to use any service provider outside the continental United States of America to handle any aspect of the work within the scope of services, and shall describe to LAFPP’s satisfaction the methods which will be used to protect LAFPP’s interests and confidentiality of LAFPP records and information in doing so. LAFPP reserves the right to approve any such service provider throughout the term of the contract at its sole and absolute discretion.

Any breach of security that occurs through the Contractor’s website, offices or network shall require Contractor to be responsible for notifying City and all applicants affected by such breach. Contractor shall also be responsible for all costs associated with such notification. The Contractor shall indemnify LAFPP for any breaches of its security and the improper disclosure of confidential information.

1.15 Award of Contract

Firms awarded a contract pursuant to this RFP will be required to enter into a written contract with the Board of Fire and Police Pension Commissioners of the City of Los Angeles, approved as to form by the City Attorney. This RFP and the proposal, or any part thereof, may be incorporated into and made part of the final contract. LAFPP reserves the right to negotiate the terms and conditions of any contract resulting from this RFP.

1.16 Independent Contractor

The selected Contractor shall, at all times during the term of any contract resulting from this RFP, retain its status as an independent contractor. The Contractor's employees shall under no circumstances be considered or held to be employees or agents of either LAFPP or the City of Los Angeles.

1.17 Bidder Certification City Ethics Commission (CEC) Form 50

Proposers (bidders) are subject to City of Los Angeles Charter Section 470(c)(12) and related ordinances. As a result, Proposers seeking to contract with the City of Los Angeles for goods or services contracts of a value of more than $25,000 and a term of at least three months acknowledge and agree to comply with the disclosure requirements and prohibitions established in the Los Angeles Municipal Lobbying Ordinance if they qualify as a lobbying entity under Los Angeles Municipal Code Section 48.02.

Proposers must submit the Bidder CEC Form 50 (See Appendix 6.3) with their proposal. Proposals submitted without a completed form shall be deemed nonresponsive.

Contractors who fail to comply with City law may be subject to penalties, termination of contract and debarment. Additional information regarding these restrictions and requirements may be obtained from the City Ethics Commission at (213) 978-1960, or http://ethics.lacity.org/.

1.18 Campaign Contributions City Ethics Commission (CEC) Form 55

Proposers are subject to Charter Section 470(c)(12) and related ordinances. As a result, proposers may not make campaign contributions to and/or engage in fundraising for certain elected City officials or candidates for elected City office from the time they submit the Proposal until either the contract is approved or, for successful proposers, twelve months after the contract is signed. The Proposer's principals and

subcontractors performing $100,000 or more in work on the contract, as well as the principals of those subcontractors, are also subject to the same limitations on campaign contributions and fundraising.

Proposers must submit CEC Form 55 (See Appendix 6.4) to the awarding authority at the same time the Proposal is submitted. Proposals submitted without a completed CEC Form 55 shall be deemed non-responsive.

The Form requires proposers to identify their principals, their subcontractors performing $100,000 or more in work on the contract, and the principals of those subcontractors. Proposers must also notify their principals and subcontractors in writing of the restrictions and include such notice in contracts with subcontractors.

Proposers who fail to comply with City law may be subject to penalties, termination of contract and debarment. Additional information regarding these restrictions and requirements may be obtained from the City Ethics Commission at (213) 978-1960 or http://ethics.lacity.org/.

1.19 Business Inclusion Program

It is the policy of the City under the Business Inclusion Program (Mayor's Executive Directive No. 14) to help ensure that all business, including certified Minority Business Enterprise (MBE), Women Business Enterprise (WBE), Other Business Enterprise (OBE), Small Business Enterprise (SBE), Emerging Business Enterprise (EBE) and Disabled Veterans- Business Enterprise (DVBE), have an equal opportunity to do business with the City. LAFPP strongly encourages all Proposers to make an effort to include members of these groups in any sub-contracting work to be performed if awarded the contract. The proposal shall include a list of all prospective sub-contractors, their status (MBE, WBE, OBE, etc.) and the service they will provide.

1.20 Conflict of Interest

LAFPP requires that all contractors disclose any existing or potential conflict of interest relative to the performance of services required by any contract resulting from this RFP. Any relationship that may be perceived or represented as an actual or potential conflict of interest must be disclosed. Failure to disclose shall result in immediate termination of any contract resulting from this RFP.

1.21 Contractor Disclosure Policy

Any Proposer awarded a contract pursuant to this RFP must comply with the LAFPP Contractor Disclosure Policy (See Appendix 6.5). Failure to comply shall result in termination of any contract resulting from this RFP.

1.22 Standard Provisions

If awarded a contract, the respondent must comply with the Standard Provisions for City Contracts (See Appendix 6.2), except for the following:

- PSC-29 Service Contractor Worker Retention Ordinance
- PSC-31 Contractor Responsibility Ordinance
- PSC-32 Business Inclusion Program
- PSC-33 Slavery Disclosure Ordinance
- PSC-34 First Source Hiring Ordinance
- PSC-35 Local Business Preference Ordinance
- PSC-36 Iran Contracting Act
- PSC-41 Compliance with California Public Resources Code Section 5164.

1.23 Bonding, Insurance & Indemnification

If awarded a contract, the respondent will furnish the City evidence of insurance coverage with minimum limits, as set forth in the Insurance Schedule of the Contract – sample insurance requirements and minimum limits (See Appendix 6.6). Proof of insurance must be submitted in accordance with requirements of the Office of the City Administrative Officer, Risk Management upon contract execution. Information on compliance with City Insurance and Bond is found in Exhibit 1 of the Appendix 6.6 – Submitting Proof of Insurance - and is also available on the City Risk Manager's Web site, http://cao.lacity.org/risk/.

The Contractor must maintain the required insurance coverage for the duration of any contract resulting from this RFP.

The Contractor must certify that it is aware of and will comply with Labor Code 3700 of the State of California requiring every employer to be insured against liability for Workers' Compensation or to undertake self-insurance before commencing any services under the terms of any contract resulting from this RFP.

The Contractor will be required to indemnify the City in accordance with the provisions set forth in PSC-18 and PSC-19 of the Standard Provisions for City Contracts (Rev. 6/24)[v.1] (See Appendix 6.2).

1.24 Business Tax Registration Certificate (BTRC)

Proposers understand that the activity described herein constitutes doing business in the City of Los Angeles and it therefore understands that it must register for and pay a business tax pursuant to Section 21.03 of the Los Angeles Municipal Code. The Contractor shall obtain and keep current a Business Tax Registration Certificate Number (BTRC #) and all such certificates required of it and shall not allow any such certificate(s) to be revoked or suspended while any contract is in effect. The Office of Finance administers this program. They are located at City Hall, 200 North Spring

Street, Room 101, Los Angeles, CA 90012. Their phone number is (844) 663-4411. Forms and instructions can be accessed via the Internet at http://finance.lacity.org.

1.25 Government Taxation Forms

If awarded a contract, the respondent must submit the following three forms to the awarding authority:

1. IRS Request for Taxpayer Identification and Certificate (Form W-9)
2. Evidence of having applied for or obtained a tax registration account number (City of L.A. Tax Registration Certificate number and Vendor Registration number)
3. State of California Withholding Exemption Certificate (Form 590) or Non-resident Withholding Certification (Form 587), if the proposer is located outside of California.

1.26 Executive Directive 35 Compliance

Respondents are advised, pursuant to Executive Directive 35, if a bidder is selected and awarded a contract, and if the contractor is a for-profit company or corporation, the contractor shall, within 30 days of the effective date of the contract and on an annual basis thereafter (i.e., within 30 days of the anniversary of the effective date of the contract), report the following information to LAFPP via the Regional Alliance Marketplace for Procurement (“RAMP”) or via another method specified by LAFPP: contractor’s and any subcontractor’s annual revenue, number of employees, location, industry, race/ethnicity and gender of majority owner ("contractor/subcontractor Information"). On an annual basis, the contractor shall further request that any subcontractor input or update its business profile, including the contractor/subcontractor information, on RAMP or via another method prescribed by LAFPP.

ATTACHMENT A

Standard Provisions for City Contracts (Rev. 6/24 [v.1])

STANDARD PROVISIONS FOR CITY CONTRACTS

TABLE OF CONTENTS

PSC-1 Construction of Provisions and Titles Herein **1**

PSC-2 Applicable Law, Interpretation and Enforcement **1**

PSC-3 Time of Effectiveness **1**

PSC-4 Integrated Contract **2**

PSC-5 Amendment **2**

PSC-6 Excusable Delays **2**

PSC-7 Waiver **2**

PSC-8 Suspension **3**

PSC-9 Termination **3**

PSC-10 Independent Contractor **5**

PSC-11 Contractor's Personnel **5**

PSC-12 Assignment and Delegation **6**

PSC-13 Permits **6**

PSC-14 Claims for Labor and Materials **6**

PSC-15 Current Los Angeles City Business Tax Registration Certificate Required **6**

PSC-16 Retention of Records, Audit and Reports **6**

PSC-17 Bonds **7**

PSC-18 Indemnification **7**

PSC-19 Intellectual Property Indemnification **7**

PSC-20 Intellectual Property Warranty **8**

PSC-21 Ownership and License **8**

PSC-22 Data Protection **9**

TABLE OF CONTENTS (Continued)

PSC-23 Insurance **9**

PSC-24 Best Terms **9**

PSC-25 Warranty and Responsibility of Contractor **10**

PSC-26 Mandatory Provisions Pertaining to Non-Discrimination in Employment **10**

PSC-27 Child Support Assignment Orders **10**

PSC-28 Living Wage Ordinance **11**

PSC-29 Service Contractor Worker Retention Ordinance **11**

PSC-30 Access and Accommodations **11**

PSC-31 Contractor Responsibility Ordinance **12**

PSC-32 Business Inclusion Program **12**

PSC-33 Slavery Disclosure Ordinance **12**

PSC-34 First Source Hiring Ordinance **12**

PSC-35 Local Business Preference Ordinance **12**

PSC-36 Iran Contracting Act **12**

PSC-37 Restrictions on Campaign Contributions in City Elections **12**

PSC-38 Contractors' Use of Criminal History for Consideration of Employment Applications **13**

PSC-39 Limitation of City's Obligation to Make Payment to Contractor **13**

PSC-40 Compliance with Identity Theft Laws and Payment Card Data Security Standards **14**

PSC-41 Compliance with California Public Resources Code Section 5164 ..... **14**

PSC-42 Possessory Interests Tax **14**

PSC-43 Confidentiality **15**

PSC-44 Contractor Data Reporting **15**

Exhibit 1 Insurance Contractual Requirements **16**

STANDARD PROVISIONS FOR CITY CONTRACTS

PSC-1. Construction of Provisions and Titles Herein

All titles, subtitles, or headings in this Contract have been inserted for convenience, and shall not be deemed to affect the meaning or construction of any of the terms or provisions of this Contract. The language of this Contract shall be construed according to its fair meaning and not strictly for or against **CITY** or **CONTRACTOR**. The word "**CONTRACTOR**" includes the party or parties identified in this Contract. The singular shall include the plural and if there is more than one **CONTRACTOR**, unless expressly stated otherwise, their obligations and liabilities shall be joint and several. Use of the feminine, masculine, or neuter genders shall be deemed to include the genders not used.

PSC-2. Applicable Law, Interpretation and Enforcement

Each party's performance shall comply with all applicable laws of the United States of America, the State of California, and **CITY**, including but not limited to, laws regarding health and safety, labor and employment, wage and hours and licensing. This Contract shall be enforced and interpreted under the laws of the State of California without regard to conflict of law principles. **CONTRACTOR** shall comply with new, amended, or revised laws, regulations, or procedures that apply to the performance of this Contract with no additional compensation paid to **CONTRACTOR**.

In any action arising out of this Contract, **CONTRACTOR** consents to personal jurisdiction, and agrees to bring all such actions, exclusively in state or federal courts located in Los Angeles County, California.

If any part, term or provision of this Contract is held void, illegal, unenforceable, or in conflict with any federal, state or local law or regulation, the validity of the remaining parts, terms or provisions of this Contract shall not be affected.

PSC-3. Time of Effectiveness

Unless otherwise provided, this Contract shall take effect when all of the following events have occurred:

A. This Contract has been signed on behalf of **CONTRACTOR** by the person or persons authorized to bind **CONTRACTOR**;

B. This Contract has been approved by the City Council or by the board, officer or employee authorized to give such approval;

C. The Office of the City Attorney has indicated in writing its approval of this Contract as to form; and

D. This Contract has been signed on behalf of **CITY** by the person designated by the City Council, or by the board, officer or employee authorized to enter into this Contract.

PSC-4. Integrated Contract

This Contract sets forth all of the rights and duties of the parties with respect to the subject matter of this Contract, and replaces any and all previous Contracts or understandings, whether written or oral, relating thereto. This Contract may be amended only as provided for in the provisions of PSC-5 hereof.

PSC-5. Amendment

All amendments to this Contract shall be in writing and signed and approved pursuant to the provisions of PSC-3.

PSC-6. Excusable Delays

Neither party shall be liable for its delay or failure to perform any obligation under and in accordance with this Contract, if the delay or failure arises out of fires, floods, earthquakes, epidemics, quarantine restrictions, other natural occurrences, strikes, lockouts (other than a lockout by the party or any of the party's Subcontractors), freight embargoes, terrorist acts, insurrections or other civil disturbances, or other similar events to those described above, but in each case the delay or failure to perform must be beyond the control and without any fault or negligence of the party delayed or failing to perform (these events are referred to in this provision as "Force Majeure Events").

Notwithstanding the foregoing, a delay or failure to perform by a Subcontractor of **CONTRACTOR** shall not constitute a Force Majeure Event, unless the delay or failure arises out of causes beyond the control of both **CONTRACTOR** and Subcontractor, and without any fault or negligence of either of them. In such case, **CONTRACTOR** shall not be liable for the delay or failure to perform, unless the goods or services to be furnished by the Subcontractor were obtainable from other sources in sufficient time to permit **CONTRACTOR** to perform timely. As used in this Contract, the term "Subcontractor" means a subcontractor at any tier.

In the event **CONTRACTOR'S** delay or failure to perform arises out of a Force Majeure Event, **CONTRACTOR** agrees to use commercially reasonable best efforts to obtain the goods or services from other sources, and to otherwise mitigate the damages and reduce the delay caused by the Force Majeure Event.

PSC-7. Waiver

A waiver of a default of any part, term or provision of this Contract shall not be construed as a waiver of any succeeding default or as a waiver of the part, term or provision itself. A party's performance after the other party's default shall not be construed as a waiver of that default.

PSC-8. Suspension

At **CITY'S** sole discretion, **CITY** may suspend any or all services provided under this Contract by providing **CONTRACTOR** with written notice of suspension. Upon receipt of the notice of suspension, **CONTRACTOR** shall immediately cease the services suspended and shall not incur any additional obligations, costs or expenses to **CITY** until **CITY** gives written notice to recommence the services.

PSC-9. Termination

A. Termination for Convenience

CITY may terminate this Contract for **CITY'S** convenience at any time by providing **CONTRACTOR** thirty days written notice. Upon receipt of the notice of termination, **CONTRACTOR** shall immediately take action not to incur any additional obligations, costs or expenses, except as may be necessary to terminate its activities. **CITY** shall pay **CONTRACTOR** its reasonable and allowable costs through the effective date of termination and those reasonable and necessary costs incurred by **CONTRACTOR** to effect the termination. Thereafter, **CONTRACTOR** shall have no further claims against **CITY** under this Contract. All finished and unfinished documents and materials procured for or produced under this Contract, including all intellectual property rights **CITY** is entitled to, shall become **CITY** property upon the date of the termination. **CONTRACTOR** agrees to execute any documents necessary for **CITY** to perfect, memorialize, or record **CITY'S** ownership of rights provided herein.

B. Termination for Breach of Contract

1. Except as provided in PSC-6, if **CONTRACTOR** fails to perform any of the provisions of this Contract or so fails to make progress as to endanger timely performance of this Contract, **CITY** may give **CONTRACTOR** written notice of the default. **CITY'S** default notice will indicate whether the default may be cured and the time period to cure the default to the sole satisfaction of **CITY**. Additionally, **CITY'S** default notice may offer **CONTRACTOR** an opportunity to provide **CITY** with a plan to cure the default, which shall be submitted to **CITY** within the time period allowed by **CITY**. At **CITY'S** sole discretion, **CITY** may accept or reject **CONTRACTOR'S** plan. If the default cannot be cured or if **CONTRACTOR** fails to cure within the period allowed by **CITY**, then **CITY** may terminate this Contract due to **CONTRACTOR'S** breach of this Contract.

2. If the default under this Contract is due to **CONTRACTOR'S** failure to maintain the insurance required under this Contract, **CONTRACTOR** shall immediately: (1) suspend performance of any services under this Contract for which insurance was required; and (2) notify its employees and Subcontractors of the loss of insurance coverage and Contractor's obligation to suspend performance of

services. **CONTRACTOR** shall not recommence performance until **CONTRACTOR** is fully insured and in compliance with **CITY'S** requirements.

3. If a federal or state proceeding for relief of debtors is undertaken by or against **CONTRACTOR**, or if **CONTRACTOR** makes an assignment for the benefit of creditors, then **CITY** may immediately terminate this Contract.

4. If **CONTRACTOR** engages in any dishonest conduct related to the performance or administration of this Contract or violates **CITY'S** laws, regulations or policies relating to lobbying, then **CITY** may immediately terminate this Contract.

5. Acts of Moral Turpitude

   a. **CONTRACTOR** shall immediately notify **CITY** if **CONTRACTOR** or any Key Person, as defined below, is charged with, indicted for, convicted of, pleads nolo contendere to, or forfeits bail or fails to appear in court for a hearing related to, any act which constitutes an offense involving moral turpitude under federal, state, or local laws ("Act of Moral Turpitude").

   b. If **CONTRACTOR** or a Key Person is convicted of, pleads nolo contendere to, or forfeits bail or fails to appear in court for a hearing related to, an Act of Moral Turpitude, **CITY** may immediately terminate this Contract.

   c. If **CONTRACTOR** or a Key Person is charged with or indicted for an Act of Moral Turpitude, **CITY** may terminate this Contract after providing **CONTRACTOR** an opportunity to present evidence of **CONTRACTOR'S** ability to perform under the terms of this Contract.

   d. Acts of Moral Turpitude include, but are not limited to: violent felonies as defined by Penal Code Section 667.5, crimes involving weapons, crimes resulting in serious bodily injury or death, serious felonies as defined by Penal Code Section 1192.7, and those crimes referenced in the Penal Code and articulated in California Public Resources Code Section 5164(a)(2); in addition to and including acts of murder, rape, sexual assault, robbery, kidnapping, human trafficking, pimping, voluntary manslaughter, aggravated assault, assault on a peace officer, mayhem, fraud, domestic abuse, elderly abuse, and child abuse, regardless of whether such acts are punishable by felony or misdemeanor conviction.

e. For the purposes of this provision, a Key Person is a principal, officer, or employee assigned to this Contract, or owner (directly or indirectly, through one or more intermediaries) of ten percent or more of the voting power or equity interests of **CONTRACTOR**.

6. In the event **CITY** terminates this Contract as provided in this section, **CITY** may procure, upon such terms and in the manner as **CITY** may deem appropriate, services similar in scope and level of effort to those so terminated, and **CONTRACTOR** shall be liable to **CITY** for all of its costs and damages, including, but not limited to, any excess costs for such services.

7. If, after notice of termination of this Contract under the provisions of this section, it is determined for any reason that **CONTRACTOR** was not in default under the provisions of this section, or that the default was excusable under the terms of this Contract, the rights and obligations of the parties shall be the same as if the notice of termination had been issued pursuant to PSC-9(A) Termination for Convenience.

8. The rights and remedies of **CITY** provided in this section shall not be exclusive and are in addition to any other rights and remedies provided by law or under this Contract.

C. In the event that this Contract is terminated, **CONTRACTOR** shall immediately notify all employees and Subcontractors, and shall notify in writing all other parties contracted with under the terms of this Contract within five working days of the termination.

PSC-10. Independent Contractor

CONTRACTOR is an independent contractor and not an agent or employee of **CITY**. **CONTRACTOR** shall not represent or otherwise hold out itself or any of its directors, officers, partners, employees, or agents to be an agent or employee of **CITY**.

PSC-11. Contractor's Personnel

Unless otherwise approved by **CITY**, **CONTRACTOR** shall use its own employees to perform the services described in this Contract. **CITY** has the right to review and approve any personnel who are assigned to work under this Contract. **CONTRACTOR** shall remove personnel from performing work under this Contract if requested to do so by **CITY**.

CONTRACTOR shall not use Subcontractors to assist in performance of this Contract without the prior written approval of **CITY**. If **CITY** permits the use of Subcontractors, **CONTRACTOR** shall remain responsible for performing all aspects of this Contract and paying all Subcontractors. **CITY** has the right to approve **CONTRACTOR'S** Subcontractors, and **CITY** reserves the right to request replacement of any

Subcontractor. **CITY** does not have any obligation to pay **CONTRACTOR'S** Subcontractors, and nothing herein creates any privity of contract between **CITY** and any Subcontractor.

PSC-12. Assignment and Delegation

CONTRACTOR may not, unless it has first obtained the written permission of **CITY**:

A. Assign or otherwise alienate any of its rights under this Contract, including the right to payment; or

B. Delegate, subcontract, or otherwise transfer any of its duties under this Contract.

PSC-13. Permits

CONTRACTOR and its directors, officers, partners, agents, employees, and Subcontractors, shall obtain and maintain all licenses, permits, certifications and other documents necessary for **CONTRACTOR'S** performance of this Contract. **CONTRACTOR** shall immediately notify **CITY** of any suspension, termination, lapses, non-renewals, or restrictions of licenses, permits, certificates, or other documents that relate to **CONTRACTOR'S** performance of this Contract.

PSC-14. Claims for Labor and Materials

CONTRACTOR shall promptly pay when due all amounts owed for labor and materials furnished in the performance of this Contract so as to prevent any lien or other claim under any provision of law from arising against any **CITY** property (including reports, documents, and other tangible or intangible matter produced by **CONTRACTOR** hereunder), and shall pay all amounts due under the Unemployment Insurance Act or any other applicable law with respect to labor used to perform under this Contract.

PSC-15. Current Los Angeles City Business Tax Registration Certificate Required

For the duration of this Contract, **CONTRACTOR** shall maintain valid Business Tax Registration Certificate(s) as required by **CITY'S** Business Tax Ordinance, Section 21.00 *et seq*. of the Los Angeles Municipal Code ("LAMC"), and shall not allow the Certificate to lapse or be revoked or suspended.

PSC-16. Retention of Records, Audit and Reports

CONTRACTOR shall maintain all records, including records of financial transactions, pertaining to the performance of this Contract, in their original form or as otherwise approved by **CITY**. These records shall be retained for a period of no less than three years from the later of the following: (1) final payment made by **CITY**, (2) the expiration of this Contract or (3) termination of this Contract. The records will be subject to examination and audit by authorized **CITY** personnel or **CITY'S** representatives at any time. **CONTRACTOR** shall provide any reports requested by **CITY** regarding

performance of this Contract. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

In lieu of retaining the records for the term as prescribed in this provision, **CONTRACTOR** may, upon **CITY'S** written approval, submit the required information to **CITY** in an electronic format, e.g. USB flash drive, at the expiration or termination of this Contract.

PSC-17. Bonds

All bonds required by **CITY** shall be filed with the Office of the City Administrative Officer, Risk Management for its review and acceptance in accordance with Los Angeles Administrative Code ("LAAC") Sections 11.47 *et seq*., as amended from to time.

PSC-18. Indemnification

Except for the active negligence or willful misconduct of **CITY**, or any of its boards, officers, agents, employees, assigns and successors in interest, **CONTRACTOR** shall defend, indemnify and hold harmless **CITY** and any of its boards, officers, agents, employees, assigns, and successors in interest from and against all lawsuits and causes of action, claims, losses, demands and expenses, including, but not limited to, attorney's fees (both in house and outside counsel) and cost of litigation (including all actual litigation costs incurred by **CITY**, including but not limited to, costs of experts and consultants), damages or liability of any nature whatsoever, for death or injury to any person, including **CONTRACTOR'S** employees and agents, or damage or destruction of any property of either party hereto or of third parties, arising in any manner by reason of an act, error, or omission by **CONTRACTOR,** Subcontractors, or their boards, officers, agents, employees, assigns, and successors in interest. The rights and remedies of **CITY** provided in this section shall not be exclusive and are in addition to any other rights and remedies provided by law or under this Contract. This provision will survive expiration or termination of this Contract.

PSC-19. Intellectual Property Indemnification

CONTRACTOR, at its own expense, shall defend, indemnify, and hold harmless the **CITY**, and any of its boards, officers, agents, employees, assigns, and successors in interest from and against all lawsuits and causes of action, claims, losses, demands and expenses, including, but not limited to, attorney's fees (both in house and outside counsel) and cost of litigation (including all actual litigation costs incurred by **CITY**, including but not limited to, costs of experts and consultants), damages or liability of any nature arising out of the infringement, actual or alleged, direct or contributory, of any intellectual property rights, including, without limitation, patent, copyright, trademark, trade secret, right of publicity, and proprietary information: (1) on or in any design, medium, matter, article, process, method, application, equipment, device, instrumentation, software, hardware, or firmware used by **CONTRACTOR**, or its Subcontractors, in performing the work under this Contract; or (2) as a result of **CITY'S** actual or intended use of any Work Product (as defined in PSC-21) furnished by **CONTRACTOR**, or its Subcontractors, under this Contract. The rights and remedies of **CITY** provided in this section shall not be exclusive

and are in addition to any other rights and remedies provided by law or under this Contract. This provision will survive expiration or termination of this Contract.

PSC-20. Intellectual Property Warranty

CONTRACTOR represents and warrants that its performance of all obligations under this Contract does not infringe in any way, directly or contributorily, upon any third party's intellectual property rights, including, without limitation, patent, copyright, trademark, trade secret, right of publicity and proprietary information.

PSC-21. Ownership and License

Unless otherwise provided for herein, all finished and unfinished works, tangible or not, created under this Contract including, without limitation, documents, materials, data, reports, manuals, specifications, artwork, drawings, sketches, blueprints, studies, memoranda, computation sheets, computer programs and databases, schematics, photographs, video and audiovisual recordings, sound recordings, marks, logos, graphic designs, notes, websites, domain names, inventions, processes, formulas, matters and combinations thereof, and all forms of intellectual property originated and prepared by **CONTRACTOR** or its Subcontractors under this Contract (each a "Work Product"; collectively "Work Products") shall be and remain the exclusive property of **CITY** for its use in any manner **CITY** deems appropriate. **CONTRACTOR** hereby assigns to **CITY** all goodwill, copyright, trademark, patent, trade secret and all other intellectual property rights worldwide in any Work Products originated and prepared under this Contract. **CONTRACTOR** further agrees to execute any documents necessary for **CITY** toperfect, memorialize, or record **CITY'S** ownership of rights provided herein.

CONTRACTOR agrees that a monetary remedy for breach of this Contract may be inadequate, impracticable, or difficult to prove and that a breach may cause **CITY** irreparable harm. **CITY** may therefore enforce this requirement by seeking injunctive relief and specific performance, without any necessity of showing actual damage or irreparable harm. Seeking injunctive relief or specific performance does not preclude **CITY** from seeking or obtaining any other relief to which **CITY** may be entitled.

For all Work Products delivered to **CITY** that are not originated or prepared by **CONTRACTOR** or its Subcontractors under this Contract, **CONTRACTOR** shall secure a grant, at no cost to **CITY**, for a non-exclusive perpetual license to use such Work Products for any **CITY** purposes.

CONTRACTOR shall not provide or disclose any Work Product to any third partywithout prior written consent of **CITY**.

Any subcontract entered into by **CONTRACTOR** relating to this Contract shall include this provision to contractually bind its Subcontractors performing work under this Contract such that **CITY'S** ownership and license rights of all Work Products are preserved and protected as intended herein.

PSC-22. Data Protection

A. **CONTRACTOR** shall protect, using the most secure means and technology that is commercially available, **CITY**-provided data or consumer-provided data acquired in the course and scope of this Contract, including but not limited to customer lists and customer credit card or consumer data, (collectively, the "City Data"). **CONTRACTOR** shall notify **CITY** in writing as soon as reasonably feasible, and in any event within twenty-four hours, of **CONTRACTOR'S** discovery or reasonable belief of any unauthorized access of City Data (a "Data Breach"), or of any incident affecting, or potentially affecting City Data related to cyber security (a "Security Incident"), including, but not limited to, denial of service attack, and system outage, instability or degradation due to computer malware or virus. **CONTRACTOR** shall begin remediation immediately. **CONTRACTOR** shall provide daily updates, or more frequently if required by **CITY**, regarding findings and actions performed by **CONTRACTOR** until the Data Breach or Security Incident has been effectively resolved to **CITY'S** satisfaction. **CONTRACTOR** shall conduct an investigation of the Data Breach or Security Incident and shall share the report of the investigation with **CITY**. At **CITY'S** sole discretion, **CITY** and its authorized agents shall have the right to lead or participate in the investigation. **CONTRACTOR** shall cooperate fully with **CITY**, its agents and law enforcement.

B. If **CITY** is subject to liability for any Data Breach or Security Incident, then **CONTRACTOR** shall fully indemnify and hold harmless **CITY** and defend against any resulting actions.

PSC-23. Insurance

During the term of this Contract and without limiting **CONTRACTOR'S** obligation to indemnify, hold harmless and defend **CITY**, **CONTRACTOR** shall provide and maintain at its own expense a program of insurance having the coverages and limits not less than the required amounts and types as determined by the Office of the City Administrative Officer of Los Angeles, Risk Management (template Form General 146 in Exhibit 1 hereto). The insurance must: (1) conform to **CITY'S** requirements; (2) comply with the Insurance Contractual Requirements (Form General 133 in Exhibit 1 hereto); and (3) otherwise be in a form acceptable to the Office of the City Administrative Officer, Risk Management. **CONTRACTOR** shall comply with all Insurance ContractualRequirements shown on Exhibit 1 hereto. Exhibit 1 is hereby incorporated by reference and made a part of this Contract.

PSC-24. Best Terms

Throughout the term of this Contract, **CONTRACTOR**, shall offer **CITY** the best terms, prices, and discounts that are offered to any of **CONTRACTOR'S** customers for similar goods and services provided under this Contract.

PSC-25. Warranty and Responsibility of Contractor

CONTRACTOR warrants that the work performed hereunder shall be completed in a manner consistent with professional standards practiced among those firms within **CONTRACTOR'S** profession, doing the same or similar work under the same or similar circumstances.

PSC-26. Mandatory Provisions Pertaining to Non-Discrimination in Employment

Unless otherwise exempt, this Contract is subject to the applicable non-discrimination, equal benefits, equal employment practices, and affirmative action program provisions in LAAC Section 10.8 et seq., as amended from time to time.

A. **CONTRACTOR** shall comply with the applicable non-discrimination and affirmative action provisions of the laws of the United States of America, the State of California, and **CITY**. In performing this Contract, **CONTRACTOR** shall not discriminate in any of its hiring or employment practices against any employee or applicant for employment because of such person's race, color, religion, national origin, ancestry, sex, sexual orientation, gender, gender identity, age, disability, domestic partner status, marital status or medical condition.

B. The requirements of Section 10.8.2.1 of the LAAC, the Equal Benefits Ordinance, and the provisions of Section 10.8.2.1(f) are incorporated and made a part of this Contract by reference.

C. The provisions of Section 10.8.3 of the LAAC are incorporated and made a part of this Contract by reference and will be known as the "Equal Employment Practices" provisions of this Contract.

D. The provisions of Section 10.8.4 of the LAAC are incorporated and made a part of this Contract by reference and will be known as the "Affirmative Action Program" provisions of this Contract.

Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-27. Child Support Assignment Orders

CONTRACTOR shall comply with the Child Support Assignment Orders Ordinance, Section 10.10 of the LAAC, as amended from time to time. Pursuant to Section 10.10(b) of the LAAC, **CONTRACTOR** shall fully comply with all applicable State and Federal employment reporting requirements. Failure of **CONTRACTOR** to comply with all applicable reporting requirements or to implement lawfully served Wage and Earnings Assignment or Notices of Assignment, or the failure of any principal owner(s) of **CONTRACTOR** to comply with any Wage and Earnings Assignment or Notices of Assignment applicable to them personally, shall constitute a default by the **CONTRACTOR** under this Contract. Failure of **CONTRACTOR** or principal owner to cure

the default within 90 days of the notice of default will subject this Contract to termination for breach. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-28. Living Wage Ordinance

CONTRACTOR shall comply with the Living Wage Ordinance, LAAC Section 10.37 *et seq.*, as amended from time to time. **CONTRACTOR** further agrees that it shall comply with federal law proscribing retaliation for union organizing. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-29. Service Contractor Worker Retention Ordinance

CONTRACTOR shall comply with the Service Contractor Worker Retention Ordinance, LAAC Section 10.36 *et seq.*, as amended from time to time. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-30. Access and Accommodations

CONTRACTOR represents and certifies that:

A. **CONTRACTOR** shall comply with the Americans with Disabilities Act, as amended, 42 U.S.C. Section 12101 et seq., the Rehabilitation Act of 1973, as amended, 29 U.S.C. Section 701 et seq., the Fair Housing Act, and its implementing regulations and any subsequent amendments, and California Government Code Section 11135;

B. **CONTRACTOR** shall not discriminate on the basis of disability or on the basis of a person's relationship to, or association with, a person who has a disability;

C. **CONTRACTOR** shall provide reasonable accommodation upon request to ensure equal access to **CITY**-funded programs, services and activities;

D. Construction will be performed in accordance with the Uniform Federal Accessibility Standards (UFAS), 24 C.F.R. Part 40; and

E. The buildings and facilities used to provide services under this Contract are in compliance with the federal and state standards for accessibility as set forth in the 2010 ADA Standards, California Title 24, Chapter 11, or other applicable federal and state law.

CONTRACTOR understands that **CITY** is relying upon these certifications and representations as a condition to funding this Contract. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-31. Contractor Responsibility Ordinance

CONTRACTOR shall comply with the Contractor Responsibility Ordinance, LAAC Section 10.40 *et seq*., as amended from time to time.

PSC-32. Business Inclusion Program

Unless otherwise exempted prior to bid submission, **CONTRACTOR** shall comply with all aspects of the Business Inclusion Program as described in the Request for Proposal/Qualification process, throughout the duration of this Contract. **CONTRACTOR** shall utilize the Business Assistance Virtual Network ("BAVN") at https://www.labavn.org/, to perform and document outreach to Minority, Women, and Other Business Enterprises. **CONTRACTOR** shall perform subcontractor outreach activities through BAVN. **CONTRACTOR** shall not change any of its designated Subcontractors or pledged specific items of work to be performed by these Subcontractors, nor shall **CONTRACTOR** reduce their level of effort, without prior written approval of **CITY**.

PSC-33. Slavery Disclosure Ordinance

CONTRACTOR shall comply with the Slavery Disclosure Ordinance, LAAC Section 10.41 *et seq.*, as amended from time to time. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-34. First Source Hiring Ordinance

CONTRACTOR shall comply with the First Source Hiring Ordinance, LAAC Section 10.44 *et seq.*, as amended from time to time. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-35. Local Business Preference Ordinance

CONTRACTOR shall comply with the Local Business Preference Ordinance, LAAC Section 10.47 *et seq.*, as amended from time to time. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-36. Iran Contracting Act

In accordance with California Public Contract Code Sections 2200-2208, all contractors entering into, or renewing contracts with **CITY** for goods and services estimated at $1,000,000 or more are required to complete, sign, and submit the "Iran Contracting Act of 2010 Compliance Affidavit."

PSC-37. Restrictions on Campaign Contributions and Fundraising in City Elections

Unless otherwise exempt, if this Contract is valued at $100,000 or more and requires approval by an elected **CITY** office, **CONTRACTOR**, **CONTRACTOR'S** principals, and **CONTRACTOR'S** Subcontractors expected to receive at least $100,000 for performance under the Contract, and the principals of those Subcontractors (the "Restricted Persons")

shall comply with Charter Section 470(c)(12) and LAMC Section 49.7.35. Failure to comply entitles **CITY** to terminate this Contract and to pursue all available legal remedies. Charter Section 470(c)(12) and LAMC Section 49.7.35 limit the ability of the Restricted Persons to make campaign contributions to and engage in fundraising for certain elected **CITY** officials or candidates for elected **CITY** office for twelve months after this Contract is signed. Additionally, a **CONTRACTOR** subject to Charter Section 470(c)(12) is required to comply with disclosure requirements by submitting a completed and signed Ethics Commission Form 55 and to amend the information in that form as specified by law. Any **CONTRACTOR** subject to Charter Section 470(c)(12) shall include the following notice in any contract with any Subcontractor expected to receive at least $100,000 for performance under this Contract:

> "Notice Regarding Restrictions on Campaign Contributions and Fundraising in City Elections
>
> You are a subcontractor on City of Los Angeles Contract # _____. Pursuant to the City of Los Angeles Charter Section 470(c)(12) and related ordinances, you and your principals are prohibited from making campaign contributions to and fundraising for certain elected City of Los Angeles ("**CITY**") officials and candidates for elected **CITY** office for twelve months after the **CITY** contract is signed. You are required to provide the names and contact information of your principals to the **CONTRACTOR** and to amend that information within ten business days if it changes during the twelve month time period. Failure to comply may result in termination of this Contract and any other available legal remedies. Information about the restrictions may be found online at ethics.lacity.org or by calling the Los Angeles City Ethics Commission at (213) 978-1960."

PSC-38. Contractors' Use of Criminal History for Consideration of Employment Applications

CONTRACTOR shall comply with the City Contractors' Use of Criminal History for Consideration of Employment Applications Ordinance, LAAC Section 10.48 *et seq*., as amended from time to time. Any subcontract entered into by **CONTRACTOR** for work to be performed under this Contract must include an identical provision.

PSC-39. Limitation of City's Obligation to Make Payment to Contractor

Notwithstanding any other provision of this Contract, including any exhibits or attachments incorporated therein, and in order for **CITY** to comply with its governing legal requirements, **CITY** shall have no obligation to make any payments to **CONTRACTOR** unless **CITY** shall have first made an appropriation of funds equal to or in excess of its obligation to make any payments as provided in this Contract. **CONTRACTOR** agrees that any services provided by **CONTRACTOR**, purchases made by **CONTRACTOR** or expenses incurred by **CONTRACTOR** in excess of the appropriation(s) shall be free and without charge to **CITY** and **CITY** shall have no obligation to pay for the services, purchases or expenses. **CONTRACTOR** shall have no obligation to provide any services,

provide any equipment or incur any expenses in excess of the appropriated amount(s) until **CITY** appropriates additional funds for this Contract.

PSC-40. Compliance with Identity Theft Laws and Payment Card Data Security Standards

CONTRACTOR shall comply with all identity theft laws including without limitation, laws related to: (1) payment devices; (2) credit and debit card fraud; and (3) the Fair and Accurate Credit Transactions Act ("FACTA"), including its requirement relating to the content of transaction receipts provided to Customers. **CONTRACTOR** also shall comply with all requirements related to maintaining compliance with Payment Card Industry Data Security Standards ("PCI DSS"). During the performance of any service to install, program or update payment devices equipped to conduct credit or debit card transactions, including PCI DSS services, **CONTRACTOR** shall verify proper truncation of receipts in compliance with FACTA.

PSC-41. Compliance with California Public Resources Code Section 5164

California Public Resources Code Section 5164 prohibits a public agency from hiring a person for employment or as a volunteer to perform services at any park, playground, or community center used for recreational purposes in a position that has supervisory or disciplinary authority over any minor, if the person has been convicted of certain crimes as referenced in the Penal Code, and articulated in California Public Resources Code Section 5164(a)(2).

If applicable, **CONTRACTOR** shall comply with California Public Resources Code Section 5164, and shall additionally adhere to all rules and regulations that have been adopted or that may be adopted by **CITY**. **CONTRACTOR** is required to have all employees, volunteers and Subcontractors (including all employees and volunteers of any Subcontractor) of **CONTRACTOR** working on premises to pass a fingerprint and background check through the California Department of Justice at **CONTRACTOR'S** sole expense, indicating that such individuals have never been convicted of certain crimes as referenced in the Penal Code and articulated in California Public Resources Code Section 5164(a)(2), if the individual will have supervisory or disciplinary authority over any minor.

PSC-42. Possessory Interests Tax

Rights granted to **CONTRACTOR** by **CITY** may create a possessory interest. **CONTRACTOR** agrees that any possessory interest created may be subject to California Revenue and Taxation Code Section 107.6 and a property tax may be levied on that possessory interest. If applicable, **CONTRACTOR** shall pay the property tax. **CONTRACTOR** acknowledges that the notice required under California Revenue and Taxation Code Section 107.6 has been provided.

PSC-43. Confidentiality

All documents, information and materials provided to **CONTRACTOR** by **CITY** or developed by **CONTRACTOR** pursuant to this Contract (collectively "Confidential Information") are confidential. **CONTRACTOR** shall not provide or disclose any Confidential Information or their contents or any information therein, either orally or in writing, to any person or entity, except as authorized by **CITY** or as required by law. **CONTRACTOR** shall immediately notify **CITY** of any attempt by a third party to obtain access to any Confidential Information. This provision will survive expiration or termination of this Contract.

PSC-44. Contractor Data Reporting

If Contractor is a for-profit, privately owned business, Contractor shall, within 30 days of the effective date of the Contract and on an annual basis thereafter (i.e., within 30 days of the annual anniversary of the effective date of the Contract), report the following information to City via the Regional Alliance Marketplace for Procurement ("RAMP") or via another method specified by City: Contractor's and any Subcontractor's annual revenue, number of employees, location, industry, race/ethnicity and gender of majority owner ("Contractor/Subcontractor Information"). Contractor shall further request, on an annual basis, that any Subcontractor input or update its business profile, including the Contractor/Subcontractor Information, on RAMP or via another method prescribed by City.

EXHIBIT 1

INSURANCE CONTRACTUAL REQUIREMENTS

CONTACT For additional information about compliance with City Insurance and Bond requirements, contact the Office of the City Administrative Officer, Risk Management at (213) 978-RISK (7475) or go online at www.lacity.org/cao/risk. The City approved Bond Assistance Program is available for those contractors who are unable to obtain the City-required performance bonds. A City approved insurance program may be available as a low cost alternative for contractors who are unable to obtain City-required insurance.

CONTRACTUAL REQUIREMENTS

CONTRACTOR AGREES THAT:

1. Additional Insured/Loss Payee. The CITY must be included as an Additional Insured in applicable liability policies to cover the CITY'S liability arising out of the acts or omissions of the named insured. The CITY is to be named as an Additional Named Insured and a Loss Payee As Its Interests May Appear in property insurance in which the CITY has an interest, e.g., as a lien holder.

2. Notice of Cancellation. All required insurance will be maintained in full force for the duration of its business with the CITY. By ordinance, all required insurance must provide at least thirty (30) days' prior written notice (ten (10) days for non-payment of premium) directly to the CITY if your insurance company elects to cancel or materially reduce coverage or limits prior to the policy expiration date, for any reason except impairment of an aggregate limit due to prior claims.

3. Primary Coverage. CONTRACTOR will provide coverage that is primary with respect to any insurance or self-insurance of the CITY. The CITY'S program shall be excess of this insurance and non-contributing.

4. Modification of Coverage. The CITY reserves the right at any time during the term of this Contract to change the amounts and types of insurance required hereunder by giving CONTRACTOR ninety (90) days' advance written notice of such change. If such change should result in substantial additional cost to CONTRACTOR, the CITY agrees to negotiate additional compensation proportional to the increased benefit to the CITY.

5. Failure to Procure Insurance. All required insurance must be submitted and approved by the Office of the City Administrative Officer, Risk Management prior to the inception of any operations by CONTRACTOR.

CONTRACTOR'S failure to procure or maintain required insurance or a self-insurance program during the entire term of this Contract shall constitute a material breach of this Contract under which the CITY may immediately suspend or terminate this Contract or, at its discretion, procure or renew such insurance to protect the CITY'S interests and pay any and all premiums in connection therewith and recover all monies so paid from CONTRACTOR.

6. Workers' Compensation. By signing this Contract, CONTRACTOR hereby certifies that it is aware of the provisions of Section 3700 *et seq*., of the California Labor Code which require every employer to be insured against liability for Workers' Compensation or to undertake

self-insurance in accordance with the provisions of that Code, and that it will comply with such provisions at all time during the performance of the work pursuant to this Contract.

7. California Licensee. All insurance must be provided by an insurer admitted to do business in California or written through a California-licensed surplus lines broker or through an insurer otherwise acceptable to the CITY. Non-admitted coverage must contain a **Service of Suit** clause in which the underwriters agree to submit as necessary to the jurisdiction of a California court in the event of a coverage dispute. Service of process for this purpose must be allowed upon an agent in California designated by the insurer or upon the California Insurance Commissioner.

8. Aggregate Limits/Impairment. If any of the required insurance coverages contain annual aggregate limits, CONTRACTOR must give the CITY written notice of any pending claim or lawsuit which will materially diminish the aggregate within thirty (30) days of knowledge of same. You must take appropriate steps to restore the impaired aggregates or provide replacement insurance protection within thirty (30) days of knowledge of same. The CITY has the option to specify the minimum acceptable aggregate limit for each line of coverage required. No substantial reductions in scope of coverage which may affect the CITY'S protection are allowed without the CITY'S prior written consent.

9. Commencement of Work. For purposes of insurance coverage only, this Contract will be deemed to have been executed immediately upon any party hereto taking any steps that can be considered to be in furtherance of or towards performance of this Contract. The requirements in this Section supersede all other sections and provisions of this Contract, including, but not limited to, PSC-3, to the extent that any other section or provision conflicts with or impairs the provisions of this Section.

Required Insurance and Minimum Limits

Name: _____ Date: _____

Agreement/Reference: _____

Evidence of coverages checked below, with the specified minimum limits, must be submitted and approved prior to occupancy/start of operations. Amounts shown are Combined Single Limits ("CSLs"). For Automobile Liability, split limits may be substituted for a CSL if the total per occurrence equals or exceeds the CSL amount.

Limits

____ **Workers' Compensation (WC) and Employer's Liability (EL)**

WC *Statutory*

EL _____

☐ Waiver of Subrogation in favor of City

☐ Longshore & Harbor Workers
☐ Jones Act

____ **General Liability** _____ _____

☐ Products/Completed Operations
☐ Fire Legal Liability _____
☐ _____

☐ Sexual Misconduct _____

____ **Automobile Liability** (for any and all vehicles used for this contract, other than commuting to/from work) _____

____ **Professional Liability** (Errors and Omissions) _____

Discovery Period _____

____ **Property Insurance** (to cover replacement cost of building - as determined by insurance company) _____

☐ All Risk Coverage
☐ Flood _____
☐ Earthquake _____

☐ Boiler and Machinery
☐ Builder's Risk
☐ _____

____ **Pollution Liability** _____

☐ _____

____ **Surety Bonds -** Performance and Payment (Labor and Materials) Bonds _____

____ **Crime Insurance** _____

Other: _____

FORM
50

Bidder Certification

Los Angeles City
ETHICS COMMISSION

This form must be submitted with your bid or proposal to the City department that is awarding the contract noted below. If you have questions about this form, please contact the Ethics Commission at (213) 978-1960.

☐ **Original Filing** ☐ **Amendment:** Date of Signed Original _____. Date of Last Amendment _____.

Reference Number (Bid, Contract, or RAMP)	Awarding Authority (Department awarding the contract)
Bidder Name	
Address	
Email Address	Phone Number

Certification

I certify the following on my own behalf or on behalf of the entity named above, which I am authorized to represent:

A. I am applying for one of the following types of contracts with the City of Los Angeles:

1. A goods or services contract with a value of more than $25,000 and a term of at least three months;
2. A construction contract with any value and duration;
3. A financial assistance contract, as defined in Los Angeles Administrative Code § 10.40.1(h), with a value of at least $100,000 and a term of any duration; or
4. A public lease or license, as defined in Los Angeles Administrative Code § 10.40.1(i), with any value and duration.

B. I acknowledge and agree to comply with the disclosure requirements and prohibitions established in the Los Angeles Municipal Lobbying Ordinance if I qualify as a lobbying entity under Los Angeles Municipal Code § 48.02.

I certify under penalty of perjury under the laws of the City of Los Angeles and the state of California that the information in this form is true and complete.

_____ _____
Name Signature

_____ _____
Title Date

FORM 55

Prohibited Contributors
(Bidders)

Los Angeles City ETHICS COMMISSION

This form must be completed in its entirety and submitted with your bid or proposal to the City department that is awarding the contract. Failure to submit a completed form may affect your bid or proposal. If you have questions about this form, please contact the Ethics Commission at (213) 978-1960.

☐ **Original Filing** ☐ **Amendment:** Date of Signed Original _____. Date of Last Amendment _____.

Reference Number (Bid, Contract, or RAMP): _____ Date Bid Submitted: _____

Contract Description (Title of the RFP or City contract solicitation and description of the services to be provided):

_____

Awarding Authority (Department awarding the contract): _____

Bidder Name: _____

Bidder Address: _____

Bidder Email Address: _____ Bidder Phone Number: _____

Schedule Summary

Please complete all three of the following:

1. **SCHEDULE A — Bidder's Principals** *(check one)*
   The bidder has one or more **PRINCIPALS,** as defined in LAMC § 49.7.35(A)(6).
   At least one principal is required for entities. *(If you check "Yes", Schedule A is required.)*
   Yes ☐ **No** ☐

2. **SCHEDULE B — Subcontractors and Their Principals** *(check one)*
   The bidder has one or more **SUBCONTRACTORS** on this bid or proposal with subcontracts worth $100,000 or more. *(If you check "Yes", Schedule B is required.)*
   Yes ☐ **No** ☐

3. **TOTAL NUMBER OF PAGES SUBMITTED** (including this cover page): _____

Certification

I certify the following under penalty of perjury under the laws of the City of Los Angeles and the state of California:
A) I understand, will comply with, and have notified my principals and subcontractors of the requirements and restrictions in Los Angeles City Charter § 470(c)(12) and any related ordinances; B) I understand that I must amend this form within ten business days if any information changes; C) I am the bidder named above or I am authorized to represent the bidder named above, and my name appears below; and D) The information provided in this form is true and complete to the best of my knowledge and belief.

_____ Name

_____ Signature

_____ Title

_____ Date

FORM 55

Prohibited Contributors
(Bidders)

Los Angeles City ETHICS COMMISSION

Schedule A - Bidder's Principals

Please identify the names and titles of all the bidder's principals (attach additional sheets if necessary). Principals include a bidder's board chair, president, chief executive officer, chief operating officer, and individuals who serve in the functional equivalent of one or more of those positions. Principals also include individuals who hold an ownership interest in the bidder of at least 20 percent and employees of the bidder who are authorized by the bid or proposal to represent the bidder before the City.

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

☐ **Check this box if additional Schedule A pages are attached.**

FORM 55

Prohibited Contributors
(Bidders)

Los Angeles City ETHICS COMMISSION

Schedule B - Subcontractors and Their Principals

Please identify all subcontractors whose subcontracts are worth $100,000 or more. Separate Schedule B pages are required for each subcontractor who meets the threshold.

Subcontractor's Name
Subcontractor's Address

Please check one of the following options:

This subcontractor has one or more principals. ☐ **Yes*** ☐ **No**

***** *Each principal's name and title must be identified below. Attach additional sheets if necessary. Principals include a subcontractor's board chair, president, chief executive officer, chief operating officer, and individuals who serve in the functional equivalent of one or more of those positions. Principals also include individuals who hold an ownership interest in the subcontractor of at least 20 percent and employees of the subcontractor who are authorized by the bid or proposal to represent the subcontractor before the City.*

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

Name: _____ Title: _____

Address: _____

☐ **Check this box if additional Schedule B pages are attached.**

Los Angeles Fire & Police Pension System

ETHICS RESPONSIBILITIES FOR BOARD MEMBERS, THE GENERAL MANAGER, AND STAFF

1.18 CONTRACTOR DISCLOSURE POLICY

A. PURPOSE

It is the policy of LAFPP for Contractors to disclose conflicts of interest - actual, potential and perceived.

The goal of this Policy is to prevent impropriety or the appearance of impropriety, to provide transparency and confidence in LAFPP's decision-making process, and to help ensure that investment and procurement decisions are made solely on the merits of the goods or services that Contractors propose to provide to LAFPP.

This Policy sets forth the circumstances under which LAFPP requires the full and timely disclosure of ex parte communications with, relationships with, and payments to, entities such as placement agents, third party marketers, lobbyists and other Intermediaries. This Policy is intended to apply broadly to all Contractors with whom LAFPP conducts or potentially will conduct business.

This Policy shall apply in addition to, and is intended to supplement, any applicable state and City ethics, campaign finance, and lobbying laws found in the City's Charter, Governmental Ethics, Lobbying and Campaign Finance Ordinances, the California Political Reform Act, and the California Constitution. Unless otherwise specified or required by the context, all terms used but not defined herein shall have the same meanings ascribed to them in **Appendix A**.

The Board recognizes that the flow of communication through staff between Contractors or consultants and Board members is beneficial to the conduct of system business. However, there are instances wherein Contractors or consultants may have ex parte communications directly with Board members. In those instances where the communications reasonably might give the appearance of being an attempt to influence the outcome of a Board or staff decision or consultant recommendation, the Board recognizes that there might be the potential for misunderstanding, misinformation, or conflicting instructions, and therefore the communications reasonably could be interpreted as inappropriately affecting the Board, staff, or consultant. Such communications do not always rise to the level of "undue influence" as defined in this policy, but nevertheless are subject to disclosure.

B. APPLICATION, EXCLUSIONS AND REPORTING

1. APPLICATION

This Policy applies to LAFPP's application, selection, and monitoring processes regarding Contractors. It is applicable to all Contractors who participate in the selection process for the award of an LAFPP contract. This policy also applies to all agreements with Contractors that are entered into after July 23, 2009, the date this Policy is adopted. Additionally, this Policy applies to existing agreements with Contractors if, after the date

this Policy is adopted, (a) the term of the agreement is extended, (b) there is any increased commitment of funds by LAFPP pursuant to the existing agreement or (c) there is an amendment to the substantive terms of an existing agreement, including the fees or compensation payable to the Contractor to the extent that LAFPP's consent is required. Reporting requirements for new and existing agreements/investments are defined in 1.18B.3.

2. EXCLUSIONS

The following contracts are excluded from this Policy:

1) Contracts in the amount of $25,000 or less and for not more than a one-year period for which the General Manager has authority to approve service agreements, pursuant to Administrative Code section 10.1.1 and as authorized by the Board pursuant to Board Governance Policy 9.18.B. (Revised 02/01/24)
2) Low cost equipment maintenance agreements and service for equipment repair. "Low cost" is defined as "$2,000 or less."
3) Contracts for which contract terms are less than 3 months in duration.
4) City, state, or federal contracts/agreements for which LAFPP utilizes the existing City, state, or federal contract or agreement.
5) Contracts with unions and associations providing approved health plans subsidized by LAFPP.

3. REPORTING

a. **Initial (New) Disclosures** For all new contracts and investments, including private investment funds, Contractors are required to complete a Contractor Disclosure form and disclose reportable items (as defined by this Policy) that occurred during the twenty-four (24) month period prior to Board consideration of a new contract/investment. For private equity funds, private credit funds, and real estate funds, the fund's general partner (or equivalent managing entity) shall provide disclosure information for the prior twenty-four month period at the time the Board considers a new or additional investment in the fund.

b. **Periodic Disclosures** For existing contracts**,** Contractors are required to complete a Contractor Disclosure form quarterly. Quarterly disclosures are due 21 business days after the end of the quarter. For contracts that are extended or renewed, the Contractor must have submitted the most recent quarterly disclosure. LAFPP internal audit staff will review previously submitted Contractor Disclosures to determine if there is a disclosure to report to the Board at the time the contract renewal or extension is being considered by the Board. General partners (or equivalent managing entities) of Real Estate Open-End Funds are required to submit a Contractor Disclosure form quarterly.

General partners (or equivalent managing entities) of private equity funds, private credit funds, and Real Estate Closed-End Funds are required to complete the Annual Gift Disclosure which is due 21 business days after the calendar year end. General partners (equivalent managing entities) of private equity funds, private credit funds and Real Estate Closed-End Funds are not required to submit Contractor Disclosure forms

(except for new or increased investments being considered by the Board, see Section 1.18.B.3a).

Non-investment and non-legal Contractors paid $20,000 or less each fiscal year by LAFPP shall submit a Contractor Disclosure no later than 21 business days after June 30th each year. LAFPP internal audit staff will review fiscal year expenditures to identify which non-investment or non-legal Contractor shall report on an annual basis. Should fiscal year expenditures result in a change to the reporting frequency of a non-investment or non-legal Contractor, LAFPP internal audit staff will notify the firm accordingly.

C. CAMPAIGN CONTRIBUTIONS

Applicability Except as otherwise provided in this section 1.18.C, every Contractor shall disclose monetary contributions and/or other financial benefits made directly or indirectly to any Elected Official (and any of his or her controlled committees), Candidate (and any of his or her controlled committees), Appointed Official or Applicable City Employee (collectively, "Contractor Campaign Contribution Disclosures"). Disclosure requirements apply to the Contractor, any of its Officers, marketing representatives, relationship representatives, portfolio managers, members of their investment committee, or Intermediaries that are involved with the product or service provided, or sought to be provided, to LAFPP, and any Family Members of the previously listed individuals.

For each such monetary contribution or financial benefit made, the Contractor Campaign Contribution Disclosures shall include the following information:

(1) The name and address of the contributor and the connection to the Contractor;
(2) The name and title of each person receiving the contribution and the name of the Elected Official, Candidate, or Appointed Official or person for whose benefit the contribution was made;
(3) The amount of the monetary contribution or financial benefit; and
(4) The date of the monetary contribution or financial benefit.

Exemption: Monetary contributions and/or financial benefits given by any person to an Elected Official or Candidate for whom such person was entitled to vote at the time of the contributions and which, in the aggregate, do not exceed $100 to any one Elected Official or Candidate per election are not required to be reported pursuant to this Section 1.18.C.

D. OTHER CONTRIBUTIONS/PAYMENTS

Applicability Every Contractor shall disclose any and all monetary contributions and/or other financial benefits not covered by other sections of this Policy, including but not limited to contributions to charitable organizations. Disclosures required include, but are not limited to, any monetary contribution or financial benefit to any of the following (collectively "Contractor Miscellaneous Contribution Disclosures"):

1. Any Elected Official (and any of his or her controlled committees), Candidate (and any of his or her controlled committees), Appointed Official or Applicable City Employee.
2. Any account or trust set up through motion of the Los Angeles City Council that would seek funds controlled by an Elected Official or Candidate.

3. Any third party at the behest of an Elected Official, Candidate, or Appointed Official or for the purpose of supporting or opposing an Elected Official or Candidate or City ballot measure.
4. Any Elected Official, Candidate, Appointed Official or Applicable City Employee for the sale of private property.
5. Any charitable or other organization or individual at the behest of an Elected Official, Candidate, Appointed Official or Applicable City Employee, including those organizations of which an Elected Official, Candidate, Appointed Official or Applicable City Employee is, to the best knowledge of the person paying the monetary contribution or financial benefit, an officer, employee, or member of the board of directors, advisory board, or any similar board or committee.

Disclosure requirements apply to the Contractor, any of its Officers, any marketing representatives, relationship representatives, portfolio managers, members of their investment committee, or Intermediaries that are involved with the product or service provided, or sought to be provided, to LAFPP, and any Family Members of any of the previously listed individuals.

For each such monetary contribution and/or financial benefit, the Contractor Miscellaneous Contribution Disclosures shall include the following information:

(1) The name and address of the contributor and the connection to the Contractor;
(2) The name and title of each person receiving the contribution and the name of the Elected Official, Candidate, or Appointed Official or person for whose benefit the contribution was made;
(3) The amount of the monetary contribution or financial benefit; and
(4) The date of the monetary contribution or financial benefit.

E. GIFTS

1. **Applicability** Every Contractor shall disclose all Gifts, as defined within this Policy, made directly or indirectly to any Elected Official, Candidate, Appointed Official, or Applicable City Employee, or to decision makers with LAFPP's private equity consultants, private credit consultants, general investment consultants, or real estate consultants. Disclosure requirements apply to the Contractor, any of its Officers, any marketing representatives, relationship representatives, portfolio managers, members of their investment committee, or Intermediaries that are involved with the product or service provided, or sought to be provided, to LAFPP, and any Family Members of any of the previously listed individuals.

   Gifts are reportable when the fair market value of the Gifts to a single person is $50 or more or multiple Gifts to a single person from a single source totals $50 or more per calendar year. Contractors must keep track of Gifts made directly or indirectly to officials, staff and representatives described above to identify if the reporting threshold is met. Such disclosures shall be made each calendar year for Gifts by Private Equity firms, Private Credit firms and firms managing Real Estate Closed-End Funds, quarterly for all other existing Contractors, and prior to Board approval of a Contractor for initial Contractor Disclosures regarding the previous 24-month period.

   When the fair market value of the Gifts to a person meets or exceeds $50 per calendar year, the Contractor shall disclose for each Gift:

(1) The name and address of each person providing the Gift and each such person's connection to the Contractor;
(2) The name and title of each person receiving the Gift;
(3) The value of the Gift;
(4) A description of the Gift; and
(5) The date of the presentation of the Gift.

2. **Gifts Received (For Investment Consultants Only)** LAFPP Consultants (private equity consultants, private credit consultants, general investment consultants, and real estate consultants who have a service agreement with LAFPP) shall also disclose a Gift if its fair market value is $50 or more that were received by decision makers, directly or indirectly, from Contractors, any of its Officers, any marketing representatives, relationship representatives, portfolio managers, members of their investment committee, or Intermediaries that are involved with the product or service provided, or sought to be provided, to LAFPP, and any Family Members of any of the previously listed individuals. Multiple gifts totaling $50 or more received during the reporting period from a single source must also be reported. LAFPP consultants must keep track of gifts received directly or indirectly to identify if the reporting threshold is met for a person within the calendar year. Such disclosures shall include Gifts received during the term of the Consultant's service agreement with LAFPP and shall be made quarterly with regard to all Contractors, and otherwise as required by LAFPP in relation to any particular contracting process.

   The consultant shall disclose for each Gift:

   (1) The name and address of each person providing the Gift and each such person's connection to the Contractor;
   (2) The name and title of each person receiving the Gift;
   (3) The value of the Gift;
   (4) A description of the Gift; and
   (5) The date of the presentation of the Gift

F. CONTACT STATEMENT

1. **Initial (New) Disclosures** Each Contractor is responsible for providing to staff prior to hiring for new agreements/investments, a List of Contacts made by the Contractor with Appointed or Elected Officials within either 1) the three-month period prior to the interview regarding a new agreement or investment; or, 2) the search period; whichever is longer. The List of Contacts shall include the date and names of the contact(s) and the nature of the contact. Required disclosure of contacts by Intermediaries is described in Section 1.18G.4(iii).

2. **Periodic Disclosures** For existing agreements, each Contractor shall also disclose any contacts with Appointed or Elected Officials ***during the term of the agreement, contract, or investment on a quarterly basis.*** This section does not apply to entities excluded from Periodic Disclosures pursuant to Section 1.18.B.3b.

G. INTERMEDIARIES

Each Contractor is responsible for providing to staff, as part of the initial and periodic Contractor Disclosure, the following information:

1. Notice to LAFPP that if any person working on behalf of the Contractor with, or assigned on behalf of the Contractor to, an LAFPP contract is a current or former LAFPP Board member, employee or consultant or a Family Member of any such person.

2. A statement whether the Contractor, any of its Officers, marketing or relationship representatives, portfolio managers, members of the investment committee, or any individuals that are involved with the product or service provided to LAFPP (or any Family Members of the individuals listed), has compensated or agreed to compensate, directly or indirectly, any person (whether or not employed by the Contractor) or entity to act as an Intermediary in connection with any investment or procurement by LAFPP.

3. A description of all compensation provided or agreed to be provided directly or indirectly by the Contractor to any Intermediary or to any employee of the Contractor who was hired specifically to solicit an investment or other business with LAFPP or is compensated on the basis of the procurement of any such investment or business. The description of such compensation shall include the nature, timing and amount thereof and any condition precedent to receiving the compensation.

4. With regard to each Intermediary identified pursuant to Section 1.18.G.2 above, each Contractor shall provide:

    (i) A description of the services to be performed by the Intermediary and a statement as to whether the Intermediary is utilized by the Contractor with all prospective clients or only with a subset of the Contractor's prospective clients (and if a subset, describe the subset), and a resume of each officer, partner, and principal of the Intermediary detailing the person's education, professional designation, regulatory licenses, and investment work experience. Work experience need not be provided in connection with agreements unrelated to investments.

    (ii) With regard to procurement of business from LAFPP, a copy of all written agreements between the Contractor and the Intermediary and a description of any agreement that is not in writing.

    (iii) A list of contacts made by the Intermediary, on behalf of the Contractor, with Appointed Officials, Elected Officials, or staff within the 24-month period prior to Board approval of a new agreement or investment. The list shall include the date and names of the contact(s) and Intermediary(s).

    (iv) The names of all persons who suggested the retention of the Intermediary and a description of how the Intermediary was selected.

    (v) A listing for the Intermediary and/or any of its affiliates showing registration with the Securities and Exchange Commission or the Financial Industry Regulatory Association or any similar regulatory agency or self-regulatory

organization outside the United States, and either the details of any such registration or an explanation of why registration is not required.

(vi) A listing for the Intermediary, and/or any of its affiliates, showing registration as a lobbyist with any local, state or national government and the details of any such registration.

H. CONTRACTOR RESPONSIBILITIES

1. Each Contractor is responsible for providing to staff, as part of the Contractor Disclosure, a representation and warranty signed by the Contractor's chief executive officer, other officer as defined in this Policy, or head of the business unit that provides, or will be providing, the service to LAFPP, of the accuracy of the information included in the Contractor Disclosure in any final written agreement.

2. Contractors shall comply with the Policy and cooperate with staff in meeting staff's obligations under this Policy. All parties responsible for implementing, monitoring and complying with this Policy should consider the spirit as well as the literal expression of the Policy. In cases where there is uncertainty whether a disclosure should be made pursuant to this Policy, the Policy shall be interpreted to require disclosure.

3. All information required in the Contractor Disclosure shall be sent to LAFPP internal audit staff as follows:

   Email address: audit@lafpp.com
   Department of Fire and Police Pensions
   Internal Audit Section
   701 E. 3rd Street, Suite 200
   Los Angeles, CA 90013
   Office: 213-279-3175

   The Contractor Disclosure is due 21 business days after the end of the quarter or year as applicable.

I. LAFPP RESPONSIBILITIES

LAFPP staff are responsible for all of the following:

a. Section managers are responsible for providing Contractors with a copy of this Policy with all Requests for Proposals at the time that due diligence in connection with a prospective investment or engagement begins.

b. Section managers are responsible for confirming that the Contractor Disclosure has been received prior to the completion of due diligence and any recommendation to proceed with the engagement of the Contractor or the decision to make any investment or procurement.

c. For new agreements and/or amendments to agreements existing as of the date of the Policy, Section managers are responsible for confirming that the final written agreement between LAFPP and the Contractor provides that the Contractor shall be solely

responsible for, and LAFPP shall not pay (directly or indirectly), any fees, compensation or expenses for any Intermediary used by the Contractor.

d. Section managers are responsible for excluding any Contractor or Intermediary from the solicitation of new investments or business from LAFPP for a time period determined by the Board up to a maximum of 5 years after they have committed a material violation of this Policy, as determined by the Board in its sole discretion, and promptly informing the Board of any such action. Refer to Penalties in Section J.

e. Internal audit staff will provide the Board, including the relevant Committee, with the Contractor Disclosure information prior to the Board making or approving any decision to invest or procure with a Contractor.

f. Internal audit staff will compile a quarterly Board report containing the names and amount of compensation agreed to be provided to each Intermediary by each Contractor, the campaign or other contributions and gifts of each Contractor and the List of Contacts as reported in the Contractor Disclosures; the List of Exclusions and the List of Outstanding Contractor Disclosures.

g. Reporting to the Board immediately any conduct that the staff reasonably believes constitutes a material violation of the Policy, to enable the Board to make a determination whether the conduct constitutes a material violation.

J. PENALTIES

For new agreements and/or amendments to agreements existing as of the date of this Policy, the Contractor, in the final written agreement with LAFPP, will agree to provide LAFPP with any or all of the following remedies in the event that there was or is a material omission or inaccuracy in the Contractor Disclosure or any other violation of this Policy, as determined by the Board in its sole discretion:

1. Whichever is greater, the reimbursement of any Contractor, management or advisory fees paid by LAFPP for one year or an amount equal to the amounts that the Contractor has paid or promised to pay to the Intermediary in respect of LAFPP.

2. LAFPP shall have the authority to terminate immediately the separate account investment management agreement, without penalty. For non-investment agreements, LAFPP shall have the authority to terminate the agreement, without penalty.

3. In addition, the Board of Commissioners may take action to ban the Contractor from future contracting opportunities with LAFPP.

In addition, the Contractor will be ineligible for, and will not solicit, future agreements with LAFPP for five years after Board determination of the violation. However, the prohibition may be reduced by a majority vote of the Board at a public session upon a showing of good cause.

Also, any Intermediary who the Board determines has materially violated this Policy shall be ineligible for, and shall not solicit, future contracts with LAFPP for five years after such Board

determination. However, this penalty may be reduced by a majority vote of the Board at a public session upon showing of good cause.

K. NO RIGHT OF CONFIDENTIALITY

All Contractor Disclosures and attachments thereto shall be public records subject to disclosure under the California Public Records act and the Ralph M. Brown Act. No confidentiality restrictions shall be placed on any Contractor Disclosures or any information provided by Contractors pursuant to this Policy.

See Appendix A – CONTRACTOR DISCLOSURE POLICY Definitions

HISTORY

1.19 Adopted: 07/23/09; Revised: 02/04/10, 03/03/11, 04/05/12, 06/04/15, 11/03/16, 10/05/17, 05/20/21, 08/05/21, 11/02/23, and 02/01/24.

REVIEW

1.20 This entire policy shall be reviewed February of every even-numbered year, with the exception of Section 1.15 Marketing Cessation which shall be reviewed annually. (Amended 02/17/22)

APPENDIX A – CONTRACT DISCLOSURE POLICY DEFINITIONS

Definitions are based on current laws. To the extent that Board policies are not updated subsequent to changes in law, the Board of Commissioners is responsible to comply with current laws and changes thereto.

Applicable City Employee
(1) An LAFPP employee designated as a City Official under LAMC Section 49.5.2(C), or
(2) a lawyer in the Public Pensions General Counsel Division or Outside Counsel Oversight Division of the Los Angeles City Attorney's Office or who is in the direct supervisory chain of command over the lawyers in those divisions. (Amended 02/17/22)

Appointed Official
An appointed LAFPP Board Member (including a person who has been appointed, pending confirmation)

Candidate
A person who has filed to run for an Elected Office

City
The City of Los Angeles

Contractor
A person who, or entity that, seeks to be and/or is hired to provide goods and/or services to LAFPP. The individuals with reporting responsibility are those at a firm that would have any contact with or responsibility for an LAFPP investment or agreement.

Contractor Disclosure
Collectively, the information required from Contractors as described in Sections 1.18.C through 1.18.H of this Policy.

Elected Official or Office
Mayor of the City of Los Angeles
Members of the Los Angeles City Council
Los Angeles City Attorney
Los Angeles City Controller
Elected LAFPP Board Member

Family Member
The spouse or domestic partner, of a Contractor or Intermediary.

Gift
Pursuant to **Los Angeles Municipal Code Section 49.5.8 *et seq*., that references the Political Reform Act and California Constitution, and Section 82028 of the Political Reform Act 2015, a "Gift"** means, except as otherwise provided in this definition, any payment that confers a personal benefit on the recipient, to the extent that consideration of equal or greater value is not received and includes a rebate or discount in the price of anything of value unless the rebate or discount is made in the regular course of business to members of the public without regard to official status. Any person, other than a defendant in a criminal action, who claims that a payment

is not a gift by reason of receipt of consideration has the burden of proving that the consideration received is of equal or greater value. The term "gift" does not include:

(1) Informational material such as books, reports, pamphlets, calendars, or periodicals. No payment for travel or reimbursement for any expenses shall be deemed "informational material."

(2) Gifts which are not used and which, within 30 days after receipt, are either returned to the donor or delivered to a nonprofit entity exempt from taxation under Section 501(c)(3) of the Internal Revenue Code without being claimed as a charitable contribution for tax purposes.

(3) Gifts from an individual's spouse, child, parent, grandparent, grandchild, brother, sister, parent-in-law, brother-in-law, sister-in-law, nephew, niece, aunt, uncle, or first cousin, or the spouse of any such person; provided that a gift from any such person shall be considered a gift if the donor is acting as an agent or intermediary for any person not covered by this paragraph.

(4) Campaign contributions required to be reported under Chapter 4 of the Political Reform Act of 1974, as amended.

(5) Any devise or inheritance.

(6) Personalized plaques and trophies with an individual value of less than two hundred fifty dollars ($250).

Intermediary
A person or entity (1) who is hired, engaged or retained by or acting on behalf of a Contractor as a placement agent, finder, lobbyist, solicitor, marketer, consultant, broker or other type of agent to raise money or investments from or obtain access to LAFPP, directly or indirectly, and (2) who engages in, either personally or through an agent, any written or oral direct communication with any LAFPP representative in furtherance of obtaining an investment or a contract with LAFPP. This definition also includes agents of Intermediaries commonly referred to as sub-agents.

LAFPP
The Los Angeles Fire and Police Pension System.

Officers
The Chief Executive Officer, Chief Operating Officer, Chief Financial Officer or functional equivalent in the Contractor's firm.

Real Estate Closed-End Funds
Closed-end commingled funds that are finite life investment vehicles.

Real Estate Open-End Funds
Open-end commingled funds that are an infinite pool of assets diversified by geography and property type.

Undue influence
The employment of any improper or wrongful pressure, scheme, or threat by which one's will is overcome and he or she is induced to do or not to do an act which he or she would not do, or would do, if left to do freely.

(Rev. 05/18)

CITY OF LOS ANGELES

INSTRUCTIONS AND INFORMATION
ON COMPLYING WITH CITY INSURANCE REQUIREMENTS

(Share this information with your insurance agent or broker)

1. **Agreement/Reference** All evidence of insurance should identify the nature of your business with the CITY. Clearly show any assigned number of a bid, contract, lease, permit, etc. or give the project name and the job site or street address to ensure that your submission will be properly credited. Provide the **types of coverage and minimum dollar amounts** specified on the Required Insurance and Minimum Limits sheet (Form Gen. 146) included in your CITY documents.

2. **When to Submit** Normally, no work may begin until a CITY insurance certificate approval number ("CA number") has been obtained, so insurance documents should be submitted as early as practicable. For **As-needed Contracts**, insurance need not be submitted until a specific job has been awarded. **Design Professionals** coverage for new construction work may be submitted simultaneously with final plans and drawings, but before construction commences.

3. **Acceptable Evidence and Approval** Electronic submission is the required method of submitting your documents. **KwikComply** is the CITY's online insurance compliance system and is designed to make the experience of submitting and retrieving insurance information quick and easy. The system is designed to be used by insurance brokers and agents as they submit client insurance certificates directly to the City. It uses the standard insurance industry form known as the **ACORD 25 Certificate of Liability Insurance** in electronic format**. KwikComply** advantages include standardized, universally accepted forms, paperless approval transactions (24 hours, 7 days per week), and security checks and balances. The easiest and quickest way to obtain approval of your insurance is to have your insurance broker or agent access **KwikComply** at https://kwikcomply.org/ and follow the instructions to register and submit the appropriate proof of insurance on your behalf.

Contractor must provide City a thirty (30) day notice of cancellation (ten (10) days for non-payment of premium) AND an Additional Insured Endorsement naming the CITY an additional insured completed by your insurance company or its designee. If the policy includes an automatic or blanket additional insured endorsement, the Certificate must state the CITY is an automatic or blanket additional insured. An endorsement naming the CITY an Additional Named Insured and Loss Payee as Its Interests May Appear is required on property policies. All evidence of insurance must be authorized by a person with authority to bind coverage, whether that is the authorized agent/broker or insurance underwriter.

Additional Insured Endorsements DO NOT apply to the following:

- Indication of compliance with statute, such as Workers' Compensation Law.
- Professional Liability insurance.

Verification of approved insurance and bonds may be obtained by checking **KwikComply**, the CITY's online insurance compliance system, at https://kwikcomply.org/.

4. **Renewal** When an existing policy is renewed, have your insurance broker or agent submit a new Acord 25 Certificate or edit the existing Acord 25 Certificate through **KwikComply** at https://kwikcomply.org/.

5. **Alternative Programs/Self-Insurance** Risk financing mechanisms such as Risk Retention Groups, Risk Purchasing Groups, off-shore carriers, captive insurance programs and self-insurance programs are subject to separate approval after the CITY has reviewed the relevant audited financial statements. To initiate a review of your program, you should complete the

Applicant's Declaration of Self Insurance form (http://cao.lacity.org/risk/InsuranceForms.htm) to the Office of the City Administrative Officer, Risk Management for consideration.

6. **General Liability** insurance covering your operations (and products, where applicable) is required whenever the CITY is at risk of third-party claims which may arise out of your work or your presence or special event on City premises. **Sexual Misconduct** coverage is a required coverage when the work performed involves minors. **Fire Legal Liability** is required for persons occupying a portion of CITY premises. Information on two CITY insurance programs, the SPARTA program, an optional source of low-cost insurance which meets the most minimum requirements, and the Special Events Liability Insurance Program, which provides liability coverage for short-term special events on CITY premises or streets, is available at (www.2sparta.com), or by calling (800) 420-0555.

7. **Automobile Liability** insurance is required only when vehicles are used in performing the work of your Contract or when they are driven off-road on CITY premises; it is not required for simple commuting unless CITY is paying mileage. However, compliance with California law requiring auto liability insurance is a contractual requirement.

8. **Errors and Omissions** coverage will be specified on a project-by-project basis if you are working as a licensed or other professional. The length of the claims discovery period required will vary with the circumstances of the individual job.

9. **Workers' Compensation and Employer's Liability** insurance are not required for single-person contractors. However, under state law these coverages (or a copy of the state's Consent To Self Insure) must be provided if you have any employees at any time during the period of this contract. Contractors with no employees must complete a Request for Waiver of Workers' Compensation Insurance Requirement (http://cao.lacity.org/risk/InsuranceForms.htm). **A Waiver of Subrogation** on the coverage is required only for jobs where your employees are working on CITY premises under hazardous conditions, e.g., uneven terrain, scaffolding, caustic chemicals, toxic materials, power tools, etc. The Waiver of Subrogation waives the insurer's right to recover (from the CITY) any workers' compensation paid to an injured employee of the contractor.

10. **Property** Insurance is required for persons having exclusive use of premises or equipment owned or controlled by the CITY. **Builder's Risk/Course of Construction** is required during construction projects and should include building materials in transit and stored at the project site.

11. **Surety** coverage may be required to guarantee performance of work and payment to vendors and suppliers. A **Crime Policy** may be required to handle CITY funds or securities, and under certain other conditions. **Specialty coverages** may be needed for certain operations. For assistance in obtaining the CITY required bid, performance and payment surety bonds, please see the City of Los Angeles Contractor Development and Bond Assistance Program website address at http://cao.lacity.org/risk/BondAssistanceProgram.pdf or call (213) 258-3000 for more information.

12. **Cyber Liability & Privacy** coverage may be required to cover technology services or products for both liability and property losses that may result when a CITY contractor engages in various electronic activities, such as selling on the Internet or collecting data within its internal electronic network. Contractor's policies shall cover liability for a data breach in which the CITY employees' and/or CITY customers' confidential or personal information, such as but not limited to, Social Security or credit card information are exposed or stolen by a hacker or other criminal who has gained access to the CITY's or contractor's electronic network. The policies shall cover a variety of expenses associated with data breaches, including: notification costs, credit monitoring, costs to defend claims by state regulators, fines and penalties, and loss resulting from identity theft. The policies are required to cover liability arising from website media content, as well as property exposures from: (a) business interruption, (b) data loss/destruction, (c) computer fraud, (d) funds transfer loss, and (e) cyber extortion.

Form Gen. 146 (Rev. 6/12)

Clear Form

Required Insurance and Minimum Limits

Name: _____ Date: 1/28/2025

Agreement/Reference: Financial Statement Audit Services RFP

Evidence of coverages checked below, with the specified minimum limits, must be submitted and approved prior to occupancy/start of operations. Amounts shown are Combined Single Limits ("CSLs"). For Automobile Liability, split limits may be substituted for a CSL if the total per occurrence equals or exceeds the CSL amount.

Limits

☑ **Workers' Compensation (WC) and Employer's Liability (EL)**

WC *Statutory*

EL 1,000,000

☐ Waiver of Subrogation in favor of City ☐ Longshore & Harbor Workers ☐ Jones Act

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☑ **General Liability** City of Los Angeles must be named as an additional insured party 1,000,000

☉ Products/Completed Operations ☐ Sexual Misconduct _____

☐ Fire Legal Liability _____

☐ _____

☐ **Automobile Liability** (for any and all vehicles used for this contract, other than commuting to/from work) _____

☑ **Professional Liability** (Errors and Omissions) 1,000,000

Discovery Period 12 Months After Completion of Work or Date of Termination

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☐ **Property Insurance** (to cover replacement cost of building - as determined by insurance company) _____

☐ All Risk Coverage ☐ Boiler and Machinery

☐ Flood _____ ☐ Builder's Risk

☐ Earthquake _____ ☐ _____

☐ _____

☐ _____

☐ **Surety Bonds -** Performance and Payment (Labor and Materials) Bonds _____

☐ **Crime Insurance** _____

Other: Submitted to Jennifer Van (213) 279-3177

1) Professional Liability to include Cyber Liability and Data Breach

**Insurance certificate(s) MUST be submitted on the City's KwikComply site: https://kwikcomply.org/]

**Insurance provisions for this agreement are detailed in Sect. 7 of the agreement.